AMW CAPITAL LEASING AND FINANCE PLC

FINANCIAL STATEMENTS
31 DECEMBER 2025

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CONTENT

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of AMW Capital Leasing and Finance PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of AMW Capital Leasing and Finance PLC (the Company). The financial statements of the Company comprise:

- the statement of financial position as at 31 December 2025;
- the statement of profit or loss and other comprehensive income for the year then ended.
- the statement of changes in equity for the year then ended.
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, which include a summary of material accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2025, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the *Code of Ethics for Professional Accountants* issued by the Institute of Chartered Accountants of Sri Lanka ("CA Sri Lanka Code of Ethics") and we have fulfilled our other ethical responsibilities in accordance with the CA Sri Lanka Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the Key audit matter
Impairment of loans and advances and rentals receivable on lease and hire purchase assets. Refer accounting policy Section 2.2.2: Impairment losses on loans and receivables and Notes 7, 8 and 24 to the financial statements.	The audit procedures performed to assess the adequacy of the impairment allowance for credit losses on loans and advances and rentals receivable on lease and hire purchase assets in line with SLFRS 9 adopted, included the following:

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of AMW Capital Leasing and Finance PLC (Contd)

Report on the Audit of the Financial Statements (Contd)

Key Audit Matters (Contd)

Key audit matter	How our audit addressed the Key audit matter
As at 31 December 2025, total gross amount of loans and advances and rentals receivable on lease and hire purchase assets amounted to Rs. 11,796 million, with a total allowance for impairment of Rs. 701 million. Total net amount of loans and advances represent 90% of the total assets. Management assesses whether the credit risk of loans and advances to customers and rentals receivable on lease and hire purchase assets have increased significantly since their initial recognition and applies a three-stage impairment approach to calculate the Expected Credit Loss (ECL) by grouping the portfolio into different segments, namely motor car, motorcycle, dual purpose, motor tricycle and other assets. ECL is calculated on either an individual basis or a collective basis. Collective impairment is calculated incorporating key parameters, including probability of default, loss given default, exposure at default, discount factor for the period and economic factor adjustment. Individual impairment is determined using discounted cash flows. The impairment of loans and advances and rentals receivable on lease and hire purchase assets using the ECL model was considered as a key audit matter due to:- The complex calculations with key variables being used in the ECL model requiring significant management judgment and use of assumptions; - The magnitude of the reported amounts of loans and advances and rentals receivable on lease and hire purchase assets and the impairment allowances thereof; and - The determination of ECL in an uncertain economic environment.	- Understanding, evaluating, and testing the design and operating effectiveness of key controls in lending and credit risk mitigation process. - Assessing the appropriateness of the criteria (E.g.: days past due, industry segments) used by management to determine whether customer credit facilities are impaired. - Assessing the appropriateness of the design and implementation of the ECL model, including the reasonableness of significant judgement made and assumptions used by management respectively, which included, cash flow estimates, discount rates, expected recoveries when defaults occur and management overlays. - Checking the reasonability of the macro-economic and other forward-looking information used by management, by comparing them against reliable publicly available information. - Checking the underlying calculations and data on a sample basis for accuracy and completeness; and - Assessing the accuracy and sufficiency of related financial statement disclosures. Based on our procedures, we found the methodology adopted to be appropriate, and the estimates and assumptions within the ECL model to be reasonable. We also found the disclosures in the financial statements in respect of the impairment to be adequate.

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of AMW Capital Leasing and Finance PLC (Contd)

Report on the Audit of the Financial Statements (Contd)

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual report for the year ended 31 December 2025 ("the Annual Report) (but does not include the financial statements and our auditor's report thereon). The Annual Report is expected to be made available to us after the date of this auditor's report.
Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of AMW Capital Leasing and Finance PLC (Contd)

Report on the Audit of the Financial Statements (Contd)

Auditor's Responsibilities for the Audit of the Financial Statements (Contd)

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of AMW Capital Leasing and Finance PLC (Contd)

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act, No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 6355.

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Deloitte Partners
Chartered Accountants
Colombo
30 March 2026

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AMW Capital Leasing and Finance PLC

STATEMENT OF FINANCIAL POSITION

As at 31 December

	Note	2025 Rs.	2024 Rs.
ASSETS			
Cash and bank	3	582,546,077	198,265,641
Other financial assets	4	69,303,379	65,311,288
Other non financial assets	5	46,866,975	48,114,125
Deferred tax assets	6	91,224,073	64,677,217
Rentals receivable on lease and hire purchase assets	7	627,329,465	248,893,692
Loans and advances	8	10,466,838,303	5,918,447,431
Equity instruments at fair value through other comprehensive income	9	2,505,126	2,358,001
Debt instruments at amortised cost	10	257,302,371	213,969,129
Property, plant and equipment	11	72,070,639	57,510,116
Intangible assets	12	22,116,005	6,527,970
Right-of-use assets	13	79,002,377	44,931,548
Total assets		**12,317,104,789**	**6,869,006,158**
EQUITY AND LIABILITIES			
Liabilities			
Bank overdraft	3	34,800,146	20,206,510
Trade and other payables	14	2,007,003,066	696,220,842
Time deposits	15	2,738,209,601	1,881,211,682
Interest bearing borrowings	16	3,376,519,151	419,682,138
Lease liabilities	13	83,098,488	56,917,361
Income tax payable	17	84,898,346	35,222,026
Employee benefit obligation	18	68,969,527	47,613,081
Total liabilities		**8,393,498,325**	**3,157,073,640**
Equity			
Stated capital	19	200,000,000	200,000,000
Retained profit		3,526,747,231	3,325,796,751
Fair value through OCI reserve		1,812,777	1,665,652
Statutory reserve fund	20	195,046,456	184,470,115
Total equity		3,923,606,464	3,711,932,518
Total equity and liabilities		**12,317,104,789**	**6,869,006,158**

The annexed notes to the financial statements on pages 10 through 65 form an integral part of these financial statements.
These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

Nishan Premakumara
General Manager Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Approved and signed for and on behalf of the Board,

Chamath Munasinghe
Director / Chief Executive Officer

Brian Selvanayagam
Director

30 March 2026

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AMW Capital Leasing and Finance PLC

Statement of Profit or Loss and Other Comprehensive Income

Year ended 31 December 2025

	Note	2025 Rs.	2024 Rs.
Gross income		**1,675,149,433**	**1,318,296,273**
Interest income	21	1,375,975,301	1,079,580,121
Less : Interest expenses	22	(420,303,247)	(341,444,432)
Net interest income		955,672,054	738,135,689
Other operating income	23	299,174,132	238,716,152
Total operating income		1,254,846,186	976,851,841
Impairment (charges) / reversal	24	97,443,033	75,783,470
Net operating income		1,352,289,219	1,052,635,311
Less: Operating expenses			
Administrative Expenses	25	(427,768,006)	(395,399,884)
Personnel Expenses	26	(404,248,653)	(334,110,790)
Distribution Expenses	27	(80,689,227)	(59,548,079)
Operating profit before Value Added Tax (VAT) on financial services		439,583,333	263,576,558
Less: Taxes On Financial Services	28	(144,225,315)	(93,498,337)
Profit before taxation		295,358,018	170,078,221
Income tax expense	29	(73,623,444)	(92,022,404)
Profit for the period		221,734,574	78,055,817
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Actuarial loss on employee benefit obligation	18	(14,519,450)	(13,561,413)
Fair value gain on equity instruments	9	147,125	172,959
Income tax relating to other comprehensive income	29	4,311,697	4,016,536
Other comprehensive income for the period, net of tax		(10,060,628)	(9,371,918)
Total comprehensive income for the period		211,673,946	68,683,899
Basic earnings per share (Rs.)	30	11.09	3.90

The annexed notes to the financial statements on pages 10 through 65 form an integral part of these financial statements.

Figures in brackets indicate deductions.

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STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2025

	Note	Stated Capital Rs.	Retained Profit Rs.	Statutory Reserve Fund Rs.	Fair Value through OCI Reserve Rs.	Total Equity Rs.
Balance as at 01 January 2024		200,000,000	3,260,711,358	181,044,568	1,492,693	3,643,248,619
Total comprehensive income for the year		-	68,510,940	-	172,959	68,683,899
Transfers	20	-	(3,425,547)	3,425,547	-	-
Balance as at 31 December 2024		**200,000,000**	**3,325,796,751**	**184,470,115**	**1,665,652**	**3,711,932,518**
Total comprehensive income for the year		-	211,526,821	-	147,125	211,673,946
Transfers	20	-	(10,576,341)	10,576,341	-	-
Balance as at 31 December 2025		**200,000,000**	**3,526,747,231**	**195,046,456**	**1,812,777**	**3,923,606,464**

The company has certain equity instruments measured at FVOCI, as explained in note 9.1. For these investments, changes in fair value is accumulated within the FVOCI reserve within equity. Accumulated changes in fair value are transferred to profit or loss when the investment is derecognised or impaired.

The annexed notes to the financial statements on pages 10 through 65 form an integral part of these financial statements.

Figures in brackets indicate deductions.

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AMW Capital Leasing and Finance PLC

STATEMENT OF CASH FLOWS

Year ended 31 December 2025

	Note	2025 Rs.	2024 Rs.
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		295,358,018	170,078,221
Adjustments for :			
Interest income on debt instruments at amortized cost	21	(41,838,029)	(152,518,400)
Accrued loan interest	16	122,620,091	77,902,538
Dividend income	23	(291,200)	(268,900)
Retiring gratuity - charge for the year	26	11,003,387	8,089,480
Interest on lease liabilities	22	17,488,813	13,450,538
Depreciation and amortization	25	54,945,784	43,037,844
Operating profit before changes in working capital		**459,286,864**	**159,771,321**
Increase in trade and other payables		1,310,782,224	85,296,304
Decrease in other financial assets and non financial assets		(2,744,941)	(11,688,977)
Net settlements from lease, hire purchase and loans and advances		(4,926,826,644)	(1,550,977,025)
Net deposit settlement to customers		856,997,919	510,419,634
Net cash generated from operations		**(2,302,504,578)**	**(807,178,743)**
Gratuity paid	18	(4,166,391)	(5,527,623)
Income tax paid	17	(46,182,281)	(40,076,687)
Net cash used in operating activities		**(2,352,853,250)**	**(852,783,053)**
CASH FLOWS USED IN INVESTING ACTIVITIES			
Dividend received	23	291,200	268,900
Acquisition of plant, equipment and intangible assets	11	(57,468,169)	(41,210,813)
Acquisition cost related to Right of Use Assets		(11,383,993)	-
Proceeds from (purchase) / sales of investment securities		(43,333,242)	1,901,184,171
Interest received from debt instruments at amortized cost	21	41,838,029	152,518,400
Net cash used in investing activities		**(70,056,175)**	**2,012,760,658**
Cash flows from / (used in) financing Activities			
Lease payments during the year	13	(41,620,698)	(41,614,279)
Loans obtained	16	3,650,000,000	800,000,000
Loan settlements made	16	(815,783,077)	(2,081,694,632)
Net cash used in financing activities		**2,792,596,225**	**(1,323,308,911)**
Net increase / (decrease) in cash and cash equivalents		369,686,800	(163,331,306)
Cash and cash equivalents at the beginning of the year		178,059,131	341,390,437
Cash and cash equivalents at the end of the year	3	**547,745,931**	**178,059,131**

The annexed notes to the financial statements on pages 10 through 65 form an integral part of these financial statements.

Figures in brackets indicate deductions.

Deloitte Partners * CHARTERED ACCOUNTANTS *

1. Corporate information

AMW Capital Leasing and Finance PLC (Previously known as "AMW Capital Leasing PLC") was incorporated on 23 February 2006 under the Companies Act No. 17 of 1982 and was re-registered under the New Companies Act No. 07 of 2007 on 27 June 2007. The new Registration Number of the Company is PB14PQ.

The registered office of the Company is located at No. 185, Union Place, Colombo 02 and principal place of business of the Company is located at No. 445, Bauddhaloka Mawatha, Colombo 08.

The principal activities of the Company comprised of leasing, loans, mobilisation of public deposits. There were no significant changes in the nature of the principal activities of the Company during the financial period under review.

The financial statements for the year ended 31 December 2025 were authorised for issue by the Directors on 30 March 2026.

The immediate holding Company of AMW Capital Leasing and Finance PLC is Associated Motorways (Pvt) Limited which is incorporated in Sri Lanka and ultimate parent Company is Al-Futtaim Engineering LLC, Dubai.

2. Summary of material accounting policies

Basis of preparation

2.1.1 Statement of compliance

The Financial Statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) promulgated by the Institute of Chartered Accountants of Sri Lanka (ICASL) and comply with the requirements of the Companies Act, No. 7 of 2007, the Regulation of Finance Business Act No.42 of 2011 and amendments there to and listing rules of Colombo Stock Exchange (CSE).

The financial statements include the following components:

- A statement of financial position as at 31 December 2025;
- A statement of Proft or Loss and other comprehensive income for the year then ended;
- A statement of changes in equity for the year then ended;
- A statement of cash flows for the year then ended; and
- Notes to the financial statements comprising accounting policies and other explanatory information.

2.1.2 Historical cost convention

The financial statements of the Company have been prepared on a historical cost basis except for certain financial assets measured at fair value.

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2. Summary of material accounting policies – (Contd.)

2.1.3 Presentation of financial statements

The Company presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non–current) is presented in the Note 35. Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not offset in the statement of profit or loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Company.

2.1.4 Responsibility for financial statements

The Board of Directors is responsible for the preparation and presentation of these financial statements.

2.1.5 Approval of financial statements

The financial statements of the Company for the year ended 31 December 2025 were authorised for issue by the Board of Directors on 30 March 2026.

2.2 Material accounting judgments, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimating uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

The estimates and underlying assumptions are reviewed on an on-going basis. Revision to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future period if the revision affects both current and future periods.

2.2.1 Going concern

The Company's management has made an assessment of the Company's ability to continue as a Going Concern and is satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, Management is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

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CHARTERED ACCOUNTANTS

2. Summary of material accounting policies – (Contd.)

2.2.2 Impairment losses on loans and receivable and rentals receivable on lease and hire purchase assets

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances. The Company's expected credit loss (ECL) calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

- The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on an ECL basis and the related qualitative assessment;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various formulas and the choice of inputs;
- Determination of associations between macroeconomic scenarios and, economic inputs such as unemployment levels and collateral values, and the effect on probability of default (PD) , exposure at default (EAD) and loss given default (LGD); and
- election of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

The Company reviews its individually significant loans and receivables at each reporting date to assess whether an impairment loss should be recorded in the statement of profit or loss. In particular, Management Judgment is required when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

ECL principles

The Company has established a policy to perform an assessment at the end of each reporting period of whether a financial instrument's credit risk has increased significantly since initial recognition by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Company groups its loans into Stage 1, Stage 2, Stage 3 as described below:

- **Stage 1:** When loans are first recognised, the Company recognises an allowance based on 12 month ECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

- **Stage 2:** When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the life time ECLs. Stage 2 loans also include facilities, where the credit risk has improved, presumed if interest and/or principal repayments are 30 days past due and the loan has been reclassified from Stage 3.

- **Stage 3:** Loans considered credit-impaired, the company records an allowance for the life time ECLs.

Deloitte Partners * CHARTERED ACCOUNTANTS *

2. Summary of material accounting policies – (Contd.)

2.2.2 Impairment losses on loans and receivable and rentals receivable on lease and hire purchase assets – (Contd.)

The calculation of ECLs

The Company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the Effective Interest Rate (EIR). A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are as follows:

- PD -The probability of default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.

- EAD - The exposure at default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

- LGD - The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD.

Definition of default

The Company considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of factors that may indicate unlikeliness to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted.

Write-offs

Financial assets are written off either partially or in their entirety only when the Company has stopped pursuing the recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are classified as other operating income.

2.2.3 Employee benefit obligations

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, future salary increases, mortality rates etc. Due to the complexity of the valuation, the underlying assumptions and its long–term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Further details about the assumptions used are given in Note 18.

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2. Summary of material accounting policies – (Contd.)

2.2.4 Fair value of financial instruments

The determination of fair value of financial assets and financial liabilities recorded on the statement of financial position for which there is no observable market price are determined using a variety of valuation techniques that includes the use of mathematical models. The valuation of financial instrument is described in Note 37 to the financial statements. The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is also given in Note 37 the financial statements.

2.2.5 Taxation

Income taxes

Judgment is involved in determining the Company's provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognise liabilities for tax matters based on estimates of whether additional taxes will be due. If the final outcome of these tax matters results in a difference in the amounts initially recognised, such differences will impact the income tax and/or deferred income tax provisions in the period in which such determination is made.

Deferred income tax assets

Deferred income tax assets are recognised to the extent that it is probable that future taxable profit will be available against which temporary differences can be utilised. This involves judgment regarding future financial performance of a particular entity in which the deferred income tax asset has been recognised.

2.2.6 Estimated useful lives of property, plant and equipment (PPE)

The Company reviews annually the estimated useful lives of PPE based on factors such as business plan and strategies, expected level of usage and future technological developments. Future results of operations could be materially affected by changes in these estimates brought about by changes in the factors mentioned. A reduction in the estimated useful lives of PPE would increase the recorded depreciation charge and decrease the PPE carrying value.

2.2.7 Commitment and contingent liabilities

Determination of the treatment of contingent liabilities in the financial statements is based on the management's view of the expected outcome of the applicable contingency. The Company consult with legal counsel on matters related to litigation and other experts both within and outside the Company with respect to matters in the ordinary course of business.

2.3 Events after the reporting period

All material events after the reporting period have been considered and appropriate adjustments or disclosures have been made in the respective notes to the financial statements.

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2. Summary of material accounting policies – (Contd.)

2.4 Changes in accounting policies and disclosures

2.4.1 New standards and amendments – applicable after 1 January 2025

The Company has applied the following amendments for the first time for their reporting period commencing 1 January 2025:

(a) Amendments to LKAS 21 the effects of changes in foreign exchange rates - lack of exchangeability

The amendments specify how to assess whether a currency is exchangeable, and how to determine the exchange rate when it is not.

The amendments state that a currency is exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

An entity assesses whether a currency is exchangeable into another currency at a measurement date and for a specified purpose. If an entity is able to obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose, the currency is not exchangeable into the other currency.

The assessment of whether a currency is exchangeable into another currency depends on an entity's ability to obtain the other currency and not on its intention or decision to do so.

When a currency is not exchangeable into another currency at a measurement date, an entity is required to estimate the spot exchange rate at that date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

The amendments do not specify how an entity estimates the spot exchange rate to meet that objective. An entity can use an observable exchange rate without adjustment or another estimation technique.

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2. Summary of material accounting policies – (Contd.)

2.4.2 New standards, amendments and interpretations issued but not yet adopted in 2025 by the company

The Company has not applied the following new and revised accounting standards that have been issued but are not yet effective for annual reporting period ending 31 December 2025.

(a) Amendments to SLFRS 9 and SLFRS 7 - Classification and Measurement of Financial Instruments

These amendments clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system. These amendments further clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion.

These amendments add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income (FVOCI).

The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

The Company anticipate that the application of these amendments may have an impact on the Company's financial statements in future periods.

(b) SLFRS 18 Presentation and Disclosures in Financial Statements

SLFRS 18 replaces LKAS 1, carrying forward many of the requirements in LKAS 1 unchanged and complementing them with new requirements. In addition, some LKAS 1 paragraphs have been moved to LKAS 8 and SLFRS 7. Furthermore, the IASB has made minor amendments to LKAS 7 and LKAS 33 Earnings per Share.

SLFRS 18 introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss
- provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements
- improve aggregation and disaggregation.

An entity is required to apply SLFRS 18 for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted. The amendments to LKAS 7 and LKAS 33, as well as the revised LKAS 8 and SLFRS 7, become effective when an entity applies SLFRS 18. SLFRS 18 requires retrospective application with specific transition provisions.

The Company anticipate that the application of these amendments may have an impact on the Company's financial statements in future periods.

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2. Summary of material accounting policies – (Contd.)

(c)SLFRS 19 Subsidiaries without Public Accountability: Disclosures

SLFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying SLFRS Accounting Standards in its financial statements.

A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with SLFRS Accounting Standards. SLFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

An entity is only permitted to apply SLFRS 19 if, at the end of the reporting period:

- it is a subsidiary (this includes an intermediate parent)
- it does not have public accountability, and
- its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with SLFRS Accounting Standards.

Eligible entities can apply SLFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply SLFRS 19 in its consolidated financial statement may do so in its separate financial statements. The new standard is effective for reporting periods beginning on or after 1 January 2027 with earlier application permitted.

The directors of the company do not anticipate that SLFRS 19 will be applied for purposes of the Company's financial statements.

(d) Annual improvements to IFRS – Volume 11

Annual improvements are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversights or conflicts between the requirements in the Accounting Standards. The 2025 amendments are to the following standards:

SLFRS 1 First-time Adoption of International Financial Reporting Standards.
SLFRS 7 Financial Instruments: Disclosures and its accompanying Guidance on implementing SLFRS 7.
SLFRS 9 Financial Instruments.
SLFRS 10 Consolidated Financial Statements; and
LKAS 7 Statement of Cash Flows.

These annual improvements are effective for annual periods beginning on or after 1 January 2026 with earlier application permitted.

The Company anticipate that the application of these amendments may have an impact on the Company's financial statements in future periods.

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2. Summary of material accounting policies – (Contd.)

(e) Contracts Referencing Nature-dependent Electricity – Amendments to SLFRS 9 and SLFRS 7

The amendments apply only to contracts that reference nature-dependent electricity, the amendments:

- Clarify the application of the 'own-use' requirements for in-scope contracts
- Amend the designation requirements for a hedged item in a cash flow hedging relationship for in-scope contracts
- Add new disclosure requirements to enable investors to understand the effect of these contracts on
  a company's financial performance and cash flows

The amendments will take effect for annual reporting periods starting on or after 1 January 2026. Early adoption is allowed, but it must be disclosed. The amendments concerning the own-use exception are to be applied retrospectively, while the hedge accounting amendments should be applied prospectively to new hedging relationships designated from the initial application date. Additionally, the SLFRS 7 disclosure amendments must be implemented alongside the SLFRS 9 amendments. If an entity does not restate comparative information, it cannot present comparative disclosures.

The directors of the company anticipate that the application of these improvements may not have an impact on the group's/company's consolidated financial statements in future periods.

(f) Amendment to LKAS 21 - Translation to a Hyperinflationary Presentation Currency

These narrow-scope amendments specify the translation procedures for an entity whose presentation currency is that of a hyperinflationary economy. The entity applies the amendments if:

• its functional currency is that of a non-hyperinflationary economy and it is translating its results and financial position into the currency of a hyperinflationary economy; or
• it is translating into the currency of a hyperinflationary economy the results and financial position of a foreign operation whose functional currency is that of a non-hyperinflationary economy.

The amendments aim to improve the usefulness of the resulting information in a cost-effective manner. Developed in response to stakeholder feedback, these amendments are expected to reduce diversity in practice and provide a clearer basis for reporting in a hyperinflationary currency.

The amendments are effective for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted.

The directors of the company anticipate that the application of these improvements may not have an impact on the group's/company's consolidated financial statements in future periods.

2. Summary of material accounting policies – (Contd.)

2.5 Summary of material accounting policies

The following are the material accounting policies applied by the Company in preparing its financial statements.

2.5.1 Foreign currency translation

(i) Functional and presentation currency

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions, and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates, are generally recognised in profit or loss.

Foreign exchange gains and losses that relate to borrowings are presented in the statement of profit or

loss, within finance costs. All other foreign exchange gains and losses are presented in the statement of profit or loss on a net basis within other operating income/(expenses).

Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognised in profit or loss as part of the fair value gain or loss, and translation differences on non-monetary assets such as equities classified as at fair value through other comprehensive income are recognised in other comprehensive income.

2.5.2 Recognition of income and expense

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty.

Expenses are recognised in the statement of comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of profit or loss, the "function of expense method" has been adopted on the basis that it represents fairly the elements of Company's performance.

2. Summary of material accounting policies – (Contd.)

a) Interest income and interest expense

Under SLFRS 9, interest income is recorded using the effective interest rate (EIR) method for all financial instruments measured at amortized cost and financial instruments designated at FVTPL. Interest income on interest bearing financial assets measured at FVOCI under SLFRS 9 is recorded by using the EIR method. The EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The EIR (and therefore, the amortized cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. Interest income is recognized using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges) is recognized.

Interest and similar income

The Company calculates interest income by applying the EIR to the gross carrying amount of financial assets other than credit-impaired assets. When a financial asset becomes credit-impaired and is, therefore, regarded as 'Stage 3', the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial assets cures and is no longer credit-impaired, the Company reverts to calculating interest income on a gross basis as a reversal of interest income. For purchased or originated credit-impaired (POCI) financial assets, the Company calculates interest income by calculating the credit-adjusted EIR and applying that rate to the amortized cost of the asset.

The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cashflows (including credit losses) to the amortized cost of the POCI assets.

Revenue – other

SLFRS 15 became effective for financial periods beginning on or after 1 January 2018. The core principle of SLFRS 15 is that an entity have to recognise revenue to depict the transfer of promised goods or services to customers. This core principle is delivered in a five-step model framework as disclosed below.

- Identify the contract (s) with a customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contract
- Recognise revenue when (or as) the entity satisfies a performance obligation.

b) Dividends

Income is recognised when the Company's right to receive the payment is established.

c) Rental income

Rental income arising from operating leases on motor vehicles is accounted for on a straight-line basis over the lease term.

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2. Summary of material accounting policies – (Contd.)

d) Fee and commission income

Fee and commission income is recognized on an accrual basis. The Company recognises fees earned on transaction-based arrangements at a point in time when we have fully provided the service to the customer. Where the contract requires services to be provided over time, income is recognised on a systematic basis over the life of the agreement.

e) Other gains and losses

Net gains and losses of a revenue nature arising from the disposal of property, plant and equipment and other non-current assets, including investments, are accounted for in the statement of profit or loss, after deducting from the proceeds on disposal, the carrying amount of such assets and the related selling expenses.

2.5.3 Tax

a) Current income tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted at the reporting date under the Inland Revenue Act No.24 of 2017 is effective from 1 April 2018 onwards.

b) Deferred tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those of the financial statements.

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences.

Deferred tax assets are recognised for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at tax rates that are expected to apply to the year when the asset is realised or liability is settled, based on the tax rates and tax laws that have been enacted or substantively enacted as at the reporting date.
Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and when the deferred taxes related to the same taxable entity and the same taxation authority.

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2. Summary of material accounting policies – (Contd.)

c) Value added tax on financial services

The base for the computation of Value Added Tax on financial services is the accounting profit before income tax adjusted for the economic depreciation and emoluments of employees computed on the prescribed rate. The VAT on financial service is recognised as expense in the period it becomes due

Social Security Contribution Levy (SSCL)

As per the Social Security Contribution Levy (SSCL) Act No. 25 of 2022, the Company is liable to pay SSCL on Financial Services at the rate of 2.5% on the value addition attributable to the supply of f inancial services. Further the non-financial services are also made liable on the turnover at the rate of 2.5%.

2.5.4 Property, plant and equipment

Cost

Property, plant and equipment is stated at cost, net of accumulated depreciation and/or accumulated impairment losses, if any. Such cost includes the cost of replacing component parts of property, plant and equipment if the recognition criteria are met. When significant parts of property, plant and equipment are required to be replaced at intervals, the Company derecognises the replaced part, and recognises the new part with its own associated useful life and depreciation.

All other repair and maintenance costs are recognised in the statement of profit or loss as incurred.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of the assets as follows:

Computer Equipment	20%
Office Equipment	20%
Furniture and Fittings	20%
Motor Vehicles	20%
Motor Vehicles on Hire	20%
Fixtures	20%

Depreciation of an asset begins when it is available for use and ceases at the earlier of the dates on which the asset is classified as held for sale or is derecognized.

An item of property, plant and equipment and any significant part initially recognised is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit or loss when the asset is derecognised.

The assets' residual values, useful lives and methods of depreciation are reviewed at each financial year end and adjusted prospectively, if appropriate.

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2. Summary of material accounting policies – (Contd.)

2.5.5 Right-of-use assets

Right-of-use assets of the Company include land & buildings, under long term rental agreements for its use as offices and branches. The Company recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortisation and impairment losses and adjusted for any re-measurement of lease liabilities.

The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are amortised on the straight-line basis over the lease term.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payment that are based on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable by the Group under residual value guarantees;
- the exercise price of a purchase option if the Group is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the Group exercising that option.

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Company, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Company:

- where possible, uses recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received;
- uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held by the Group, which does not have recent third party financing, and
- makes adjustments specific to the lease, e.g. term, country, currency and security.

2. Summary of material accounting policies – (Contd.)

2.5.6 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost.

Following initial recognition, intangible assets are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss in the expense category consistent with the function of the intangible assets.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss when the asset is derecognized.

Amortization

Amortization on computer software is calculated on a straight-line basis over the estimated useful life of 5 years.

2.5.7 Lease and hire purchase receivables

Finance and operating leases

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement at the inception date, whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Finance leases

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title are classified as finance leases. When the Company is the lessor under finance leases, the amounts due under the leases, after deduction of unearned income are included in Lease Receivables. The finance income receivable is recognized in "Interest Income "over the period of the leases based on the interest rate implicit in the lease so as to give a constant rate of return on the net investment in the leases.

Operating leases

All other leases are classified as operating leases. When acting as lessor, the Company includes the assets subject to operating leases in "Property, plant and equipment" and accounts for them accordingly. Rentals receivable under operating leases are accounted for on a straight-line basis over the period of the leases.

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2. Summary of material accounting policies – (Contd.)

Hire purchase

Assets hired to customers under hire purchase agreements, which transfer all the risks and rewards incidental to ownership as well as the legal title at the end of such contractual period, are classified as hire purchase receivables. Such assets are accounted for in a similar manner as finance leases.

2.5.8 Financial instruments

The Company recognizes financial assets or financial liabilities in its statement of financial position when the Company becomes a party to the contractual provisions of the instrument. Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of a financial asset or a liability (other than financial assets and financial liabilities at fair value through profit or loss) are added or deducted from the fair value of the financial asset or liability, as appropriate, on initial recognition. Transaction costs that are directly attributable to the acquisition of financial assets and financial liabilities at fair value through profit or loss are recognized immediately in the statement of profit or loss. Financial assets and liabilities are offset and the net amount is presented when, and only when the Company has a legal right to offset the amount and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

a) Initial recognition and measurement

Financial assets are classified as financial assets at fair value through profit or loss or amortized cost based on the Company's business model and cash flow characteristics of the financial asset.

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially measured at their fair value except in the case of financial assets and financial liabilities recorded at FVTPL, transaction costs are added to, or subtracted from, this amount.

b) Measurement categories of financial assets and liabilities

The Company classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms. Subsequent to initial recognition, all assets within the scope of SLFRS 9 are measured at:

- Amortised cost
- Fair value through other comprehensive income (FVOCI)
- Fair value through profit or loss.(FVTPL)

Financial assets at amortized cost:

The Company only measures loans, receivables, and other financial investments at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

Financial assets at amortized cost consist of cash and bank balances, securities purchased under repurchase agreements, lease receivables, hire purchase receivables, loan receivables and other assets.

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CHARTERED ACCOUNTANTS

2. Summary of material accounting policies – (Contd.)

2.5.8 Financial instruments – (Contd.)

The details of the above conditions are outlined below.

Business model assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed;
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected); and
- The expected frequency, value and timing of sales are also important aspects of the Company's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realized in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The SPPI test

As a second step of its classification process the Company assesses the contractual terms of financial to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortization of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a more than the minimum exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

Debt instruments at FVOCI

The Company applies the new category under SLFRS 9 of debt instruments measured at FVOCI when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets; and
- The contractual terms of the financial asset meet the SPPI test.

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2. Summary of material accounting policies – (Contd.)

2.5.8 Financial instruments – (Contd.)

Debt instruments at FVOCI – (Contd.)

FVOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income and foreign exchange gains and losses are recognised in profit or loss in the same manner as for financial assets measured at amortised cost. Where the Company holds more than one investment in the same security, they are deemed to be disposed of on a first–in first–out basis. On de recognition, cumulative gains or losses previously recognized in OCI are reclassified from OCI to profit or loss.

Equity instruments at FVOCI

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by instrument basis. Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

c) Derecognition of financial assets

The Company derecognizes a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognized as a de recognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognised loans are classified as Stage 1 for ECL measurement purposes, unless the new loan is deemed to be POCI.

When assessing whether or not to derecognize a loan to a customer, amongst others, the Company considers following factors:

- Change in currency of the loan
- Introduction of an equity feature
- Change in counterparty

If the modification is such that the instrument would no longer meet the SPPI criterion.

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original EIR, the Company records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

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CHARTERED ACCOUNTANTS

2. Summary of material accounting policies – (Contd.)

Financial liabilities

a) Initial recognition and measurement

Financial liabilities are classified as financial liabilities at fair value through profit or loss, loans and borrowings or as derivatives designated as hedging instruments in an effective hedge as appropriate. The Company determines the classification of its financial liabilities at initial recognition. All financial liabilities are recognized initially at fair value and in the case of loans and borrowings at amortized cost, plus directly attributable transaction costs.

The financial liabilities include trade and other payables, company overdrafts, loans and borrowings, time deposits, amounts due to related parties.

b) Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Gains or losses on liabilities held for trading are recognized in the statement of profit or loss.

Loans and Borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the statement of profit or loss when the liabilities are derecognized as well as through the effective interest rate method (EIR) amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance costs in the statement of profit or loss.

c) Derecognition

Financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the statement of profit or loss.

d) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

2. Summary of material accounting policies – (Contd.)

2.5.9 Impairment of non-financial assets

Intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.5.10 Cash and bank balances

Cash and Bank balances in the statement of financial position comprise cash at banks and in hand. For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Bank overdrafts are shown separately within liabilities in the statement of financial position.

2.5.11 Post-employment benefits

Employee Benefit Obligation

The liability or asset recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period. The defined benefit obligation is calculated annually by independent qualified actuaries using the projected unit credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates on government bonds, and that have terms approximating to the terms of the related obligation.

The interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation. This cost is included in employee benefit expense in the statement of profit or loss.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the period in which they occur, directly in other comprehensive income. They are included in retained earnings in the statement of changes in equity and in the statement of financial position.

Changes in the present value of the defined benefit obligation resulting from plan amendments or curtailments are recognised immediately in profit or loss as past service costs.

The employee defined benefit plan comprises the gratuity provided under the payment of Gratuity Act, No.12 of 1983.

2. Summary of material accounting policies – (Contd.)

2.5.11. Post-employment benefits – (Contd.)

Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund contributions and Employees' Trust Fund contributions in line with respective statutes and regulations. The Company contributes the defined percentages of gross emoluments of employees to an approved Employees' Provident Fund and Employees' Trust Fund respectively. The contribution paid and payable is recognized as an expense during the year.

2.5.12 Trade and other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of the financial year which are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition. Trade and other payables are classified as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

2.5.13 Provisions and Contingent Liabilities

Provisions are recognized when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount can be reliably estimated. Provisions are not recognized for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognized as interest expense.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

2.5.14 Stated capital and equity

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

2.5.15 Dividends

Provision is made for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the entity, on or before the end of the reporting period but not distributed at the end of the reporting period.

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2. Summary of material accounting policies – (Contd.)

2.5.16 Earnings per share

a) Basic earnings per share

Basic earnings per share is calculated by dividing:

- the profit attributable to owners of the company, excluding any costs of servicing equity other than ordinary shares; and
- by the weighted average number of ordinary shares outstanding during the financial year, adjusted for bonus elements in ordinary shares issued during the year.

b) Diluted earnings per share

Diluted earnings per share adjusts the figures used in the determination of basic earnings per share to take into account:

- the after income tax effect of interest and other financing costs associated with dilutive potential ordinary shares; and
- the weighted average number of additional ordinary shares that would have been outstanding assuming the conversion of all dilutive potential ordinary shares.

2.5.17 Related party transactions

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in LKAS 24 - "Related Party Disclosures". Disclosure has been made in respect of the related party transactions in which one party has the ability to control or exercise significant influence over the financial and operating policies / decisions of the other, irrespective of whether a price is being charged or not.

According to LKAS 24 - "Related Party Disclosures", Key Management Personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Board of Directors has been classified as Key Management Personnel of the Company. Emoluments paid to Key Management Personnel have been disclosed in Note 31.2.

2.5.18 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

The Board of Directors of the Company which assesses the financial performance and position of the Company, and makes strategic decisions has been identified as being the chief operating decision maker.

The Company's reportable segments comprise of Finance Lease, Hire Purchase, Term Loans and Unallocated.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Expenses that cannot be directly identified to a particular segment are allocated on bases decided by the management and applied consistently throughout the year.

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3. Cash and bank

	2025 Rs.	2024 Rs.
Cash in hand	85,838,099	90,781,067
Cash at bank	496,707,978	107,484,574
	582,546,077	198,265,641
Bank overdraft	(34,800,146)	(20,206,510)
Cash and cash equivalents	**547,745,931**	**178,059,131**

3.1 Net debt reconciliation

This section sets out an analysis of net debt and movements in net debt for each of the periods presented.

	2025 Rs.	2024 Rs.
Cash and cash equivalents	547,745,931	178,059,131
Borrowings		
- Interest bearing borrowings	(3,376,519,151)	(419,682,138)
- Lease liabilities	(83,098,488)	(56,917,361)
Net debt	**(2,911,871,708)**	**(298,540,368)**
Cash and cash equivalents	547,745,931	178,059,131
Gross debt – fixed interest rates	(2,466,229,881)	(181,917,361)
Gross debt – variable interest rates	(993,387,759)	(294,682,137)
Net debt	**(2,911,871,708)**	**(298,540,367)**

	Liability from financing activities		Assets	Total
	Borrowings	Lease Liabilities	Cash and Cash Equivalents	
Net debt as at 1 January 2024	(1,623,474,230)	(73,304,737)	341,390,437	(1,355,388,531)
Cash flows	-	-	(163,331,306)	(163,331,306)
Loans obtained from related parties	(800,000,000)	-	-	(800,000,000)
Securitization loan interest	(77,902,537)	-	-	(77,902,537)
Repayment of securitization loans	2,081,694,630	-	-	2,081,694,630
Interest charge on lease liabilities	-	(13,450,538)	-	(13,450,538)
New lease liabilities	-	(17,188,634)	-	(17,188,634)
Adjustments made during the year	-	5,412,277	-	5,412,277
Lease payments during the year	-	41,614,279	-	41,614,279
Net debt as at 31 December 2024	**(419,682,137)**	**(56,917,353)**	**178,059,131**	**(298,540,359)**
Cash flows	-	-	369,686,800	369,686,800
Securitization loans obtained from banks	(3,650,000,000)	-	-	(3,650,000,000)
Securitization loan Interest	(122,620,090)	-	-	(122,620,090)
Repayment of securitization Loans	815,783,068	-	-	815,783,068
Interest charge on lease liabilities	-	(17,488,813)	-	(17,488,813)
New lease liabilities	-	(50,313,010)	-	(50,313,010)
Lease payments during the year	-	41,620,696	-	41,620,696
Net debt as at 31 December 2025	**(3,376,519,159)**	**(83,098,480)**	**547,745,931**	**(2,911,871,708)**

4. Other financial assets

	2025 Rs.	2024 Rs.
Portfolio related financial assets		
VAT receivable on lease rentals	40,090	26,107
Insurance receivable on lease and hire purchase	4,710,347	6,500,228
Insurance receivable on loans and advances	37,544,426	24,283,584
RMV charges receivable	2,496,944	1,989,807
Seizing charges receivable	160,722	220,722
Lawyer fee receivable	265,093	161,593
Other financial assets		
Refundable deposits	25,219,394	24,357,394
Other receivable - related parties (Note 4.1)	3,002,607	3,002,607
Insurance commission receivable	26,225,268	25,147,264
Miscellaneous receivables	3,407,182	10,335,040
Less : Impairment provision for other financial assets (Note 4.2)	(33,768,695)	(30,713,058)
	69,303,379	**65,311,288**

4.1 Other receivable - related parties

		2025 Rs.	2024 Rs.
Associated Motorways (Pvt) Ltd	Parent	3,002,607	3,002,607
		3,002,607	**3,002,607**

4.2 Impairment provision for other financial assets

	2025 Rs.	2024 Rs.
Balance as at 01 January	30,713,058	27,926,147
Provision / (reversal of provision) made during the year	3,055,637	2,786,911
Balance as at 31 December	**33,768,695**	**30,713,058**

5. Other non financial assets

	2025 Rs.	2024 Rs.
Input VAT receivable	19,121,346	7,040,123
Other prepayments	27,745,629	41,074,002
	46,866,975	48,114,125
Less: Impairment provision for other non financial assets	-	-
	46,866,975	**48,114,125**

5.1 Impairment provision for other non financial assets

	2025 Rs.	2024 Rs.
Balance as at 01 January	-	6,900,060
Provisions made during the year	-	(6,900,060)
Balance as at 31 December	-	-

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6. Deferred tax

	2025 Rs.	2024 Rs.
Balance as at the beginning of the year	64,677,218	152,683,085
Further recognition/(reversal) of deferred tax assets during the year	22,235,156	(92,022,402)
Addition/ (reversal) for the year through Statement of other comprehensive income	4,311,698	4,016,535
Balance as at 31 December	**91,224,073**	**64,677,218**

6.1 Deferred tax assets / (liabilities)

The closing deferred tax assets balance relates to the following

	2025	2024
Accelerated depreciation for tax purposes	(3,003,659)	(3,464,006)
Employee benefit obligations	20,690,858	14,283,924
Expected credit loss expenses	73,035,457	46,928,300
Fair value gain on equity instruments	(727,418)	(683,280)
Lease liabilities	(23,700,713)	(13,479,464)
Right-of-use assets	24,929,546	17,075,208
	91,224,071	**60,660,682**

6.2 Composition of deferred tax assets and liabilities

	2025		2024	
	Temporary difference	**Deferred tax**	**Temporary difference**	**Deferred tax**
Deferred tax liabilities				
Property, plant and equipment	(10,012,198)	(3,003,659)	(11,546,688)	(3,464,006)
Equity securities - FVOCI	(2,424,726)	(727,418)	(2,277,601)	(683,280)
Right-of-use assets	(79,002,377)	(23,700,713)	(44,931,548)	(13,479,464)
Deferred tax assets				
Retirement benefit obligations	68,969,527	20,690,858	47,613,081	14,283,924
Provision for expected credit loss expenses	243,451,523	73,035,457	156,427,668	46,928,300
Lease liabilities	83,098,488	24,929,546	56,917,361	17,075,208
	304,080,237	**91,224,071**	**202,202,273**	**60,660,682**

Deferred tax has been computed according to the provisions of the Inland Revenue Act No. 24 of 2017. The company is liable to income tax at 30% per annum on taxable profits.

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7. Rentals receivable on lease and hire purchase assets

7.1 Rentals receivable on lease assets

	2025 Rs.	2024 Rs.
Receivable from one to five years		
Rentals receivable	466,177,807	123,058,049
Unearned income	(91,026,795)	(16,975,837)
	375,151,012	**106,082,212**
Receivable within one year		
Rentals receivable	394,973,634	177,648,915
Unearned income	(115,206,423)	(33,197,211)
	279,767,211	**144,451,704**
Overdue rental receivable		
Rentals receivable	99,643,198	119,834,616
	99,643,198	**119,834,616**
Total		
Future rentals receivable	861,151,441	300,706,964
Overdue rentals receivable	99,643,198	119,834,616
Total rentals receivable	960,794,639	420,541,580
Unearned income	(206,233,218)	(50,173,048)
	754,561,421	370,368,532
Less : Provision for expected credit loss expenses	(127,239,321)	(121,561,067)
Balance as at 31 December	**627,322,101**	**248,807,464**

7.2 Rentals receivable on hire purchase assets

	2025 Rs.	2024 Rs.
Overdue rental receivable		
Rentals receivable	749,537	733,037
	749,537	**733,037**
Total		
Future rentals receivable	-	-
Overdue rentals receivable	749,537	733,037
Total rentals receivable	749,537	733,037
Unearned income	-	-
	749,537	733,037
Less : Provision for credit loss expenses	(742,173)	(646,809)
Balance as at 31 December	**7,364**	**86,228**

Total rentals receivable on lease assets and hire purchase assets

	2025 Rs.	2024 Rs.
Future rentals receivable	861,151,441	300,706,964
Overdue rental receivable	100,392,736	120,567,652
Total rentals receivable	961,544,177	421,274,616
Unearned income	(206,233,218)	(50,173,048)
	755,310,959	371,101,568
Less : Provision for expected credit loss expenses (7.3)	(127,981,494)	(122,207,876)
Balance as at 31 December	**627,329,465**	**248,893,692**

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7. Rentals receivable on lease and hire purchase assets - (Contd.)

7.3 Provision for credit loss expenses

	2025 Rs.	2024 Rs.
Balance as at 01 January	122,207,876	171,419,307
(Reversal) / Provisions made during the year	5,773,618	(49,211,431)
Writeoff during the year	-	-
	127,981,494	122,207,876
Balance as at 31 December	**127,981,494**	**122,207,876**

7.4 Maturity analysis of lease rentals receivable on lease and hire purchase assets

	2025	2024
Less then 1 year	394,973,634	177,648,915
1 to 2 years	258,473,794	89,801,535
2 to 3 years	150,660,836	25,422,467
3 to 4 years	52,981,891	7,204,414
4 to 5 years	4,061,286	629,633
More than 5 years	-	-
	861,151,441	300,706,963
Less: Unearned interest income	(206,233,218)	(50,173,048)
Gross rentals receivable	654,918,223	250,533,915
Overdue rental receivable	100,392,736	120,567,652
Less : Provision for credit loss expenses	(127,981,494)	(122,207,876)
Balance as at 31 December	**627,329,465**	**248,893,690**

7.5 Assumptions used and sensitivity analysis

The assumptions underlying the ECL calculation - such as how the maturity profile of the PDs and collateral values change etc. are monitored and reviewed on a quarterly basis.

Forward-looking economic indicators - The most significant indicators used for ECL estimate as at 31 December 2025 are set out below.

The Company assumes that there is a direct relationship between the economy of the country and the Companys' default probabilities.

	Sensitivity on provision for impairment	
	1% Increase	1% Decrease
GDP Growth (%)	(358,329)	322,634
Inflation (YoY average)	108,674	(143,998)
Interest Rate (PLR)	(257,168)	221,690
Unemployment (% of labour force)	(14,031,717)	14,946,682
Sector NPL Ratio %		
Credit Growth		

The company assesses significant customer exposures to determine whether there are any signs of impairment. The present value of the expected future cash flow method has been used to determine credit loss for the individually impaired customers. Individually tested but not impaired customer exposures collectively assessed in the ECL model.

Considering the uncertain economic situation in the country the Company has applied a 15% economic model overlay with a view to manage macroeconomic forecast uncertainty in the model. The sensitivity of profit before tax and net assets of the Company to the management overlay assumption is as follows :

	Sensitivity on provision for impairment losses	
	1% Increase	**1% Decrease**
Impact to the provision for expected credit loss expenses	264,965	(264,965)

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7. Rentals receivable on lease and hire purchase assets - (Contd.)

7.6 Capital outstanding on non performing assets as at 31.12.2025 amounts to Rs. 129,972,886/- (As at 31.12.2024 amounts to Rs. 170,721,067/-)

7.7 Motor vehicles and equipment are held as collaterals against lease and hire purchase receivables.

8. Loand and advances

		2025	2024
8.1	**Instalments receivable on auto loans**	**Rs.**	**Rs.**
	Receivable after five years		
	Instalments receivable	83,890,192	1,630,219
	Unearned income	(6,411,285)	(63,593)
		77,478,908	**1,566,626**
	Receivable from one to five years		
	Instalments receivable	9,150,836,969	5,303,157,468
	Unearned income	(1,893,768,689)	(1,142,227,105)
		7,257,068,280	**4,160,930,363**
	Receivable within one year		
	Instalments receivable	4,667,615,483	2,892,032,342
	Unearned income	(1,443,189,337)	(933,749,797)
		3,224,426,146	**1,958,282,545**
	Overdue instalment receivable		
	Instalments receivable	429,920,508	378,059,386
	Total	**429,920,508**	**378,059,386**
	Instalments receivable	13,902,342,644	8,196,820,029
	Overdue instalments receivable	429,920,508	378,059,386
	Total instalments receivable	14,332,263,152	8,574,879,415
	Unearned income	(3,343,369,310)	(2,076,040,495)
		10,988,893,842	6,498,838,920
	Less: Provision for expected credit loss expenses (8.3)	(573,442,670)	(608,059,417)
	Balance as at 31 December	**10,415,451,172**	**5,890,779,503**

		2025	2024
		Rs.	**Rs.**
8.2	**Loans against fixed deposits**	51,387,131	27,667,928
	Total loans and advances	**10,466,838,303**	**5,918,447,431**

8.3	**Provision for credit loss expenses**		
	Balance as at 01 January	608,059,417	585,182,280
	Provisions made during the year	(34,616,748)	22,877,137
	Balance as at 31 December	**573,442,670**	**608,059,417**

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8. Loand and advances - (Contd.)

8.4 Maturity analysis of loans and advances

	2025 Rs.	2024 Rs.
Less than 1 year	4,667,615,483	2,892,032,342
1 to 2 years	3,482,407,857	2,215,529,960
2 to 3 years	2,661,938,482	1,548,085,963
3 to 4 years	1,929,169,696	1,006,907,897
4 to 5 years	1,077,320,934	532,633,648
More than 5 years	83,890,192	1,630,219
	13,902,342,644	8,196,820,029
Less: Unearned interest income	(3,343,369,310)	(2,076,040,495)
Gross instalments receivable	6,120,779,534	6,120,779,534
Overdue instalments receivable	429,920,508	378,059,386
Loans against fixed deposits	51,387,131	27,667,928
Less : Provision for expected credit loss expenses	(573,442,670)	(608,059,417)
Balance as at 31 December	**6,028,644,504**	**5,918,447,431**

8.5 Assumptions used and sensitivity analysis

The assumptions underlying the ECL calculation such as how the maturity profile of the PDs and how collateral values change etc. are monitored and reviewed on a quarterly basis.

Forward-looking economic indicators - The most significant period-end indicators used for ECL estimate as at 31 December 2025 are set out below.

The Company assumes that there is a direct relationship between the economy of the country and the company default probabilities.

	Sensitivity on provision for impairment	
	1% Increase	1% Decrease
GDP Growth (%)	(1,628,798)	1,624,559
Inflation (YoY average)	734,268	(734,977)
Interest Rate (PLR)	(1,325,140)	1,322,850
Unemployment (% of labour force)	(133,602,990)	140,848,506
Sector NPL Ratio %	60,466	60,466
Credit Growth	146,210	146,210

The company assesses significant customer exposures to determine whether there are any signs of impairment. The present value of the expected future cash flow method has been used to determine credit loss for the individually impaired customers. Individually tested but not impaired customer exposures collectively assessed in the ECL model.

Considering the uncertain economic situation in the country the Company has applied a 15% economic model overlay with a view to manage macroeconomic forecast uncertainty in the model. The sensitivity of profit before tax and net assets of the Company to the management overlay assumption is as follows :

	Sensitivity on provision for impairment losses	
	1% Increase	**1% Decrease**
Impact to the provision for expected credit loss expenses	2,126,593	(2,126,593)

8.6 Capital outstanding on non performing assets as at 31.12.2025 amounts to Rs. 738,188,771/- (As at 31.12.2024 Rs. 718,655,320/-).

8.7 Motor vehicles are held as collaterals against loans and advances.

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9. Equity instruments at fair value through other comprehensive income

	Holding %	No of shares 2025	2024	2025 Rs.	2024 Rs.
Unquoted Investments					
Credit Information Bureau of Sri Lanka	0.04%	100	100	2,505,126	2,358,001
				2,505,126	**2,358,001**

Unquoted equity investment includes shares of Credit Information Bureau of Sri Lanka which is carried at adjusted net asset value, which is assumed to approximate its fair value.

9.1 Fair value measurements using significant unobservable inputs (Level 3)

The following table presents the changes in level 3 items for the periods ended 31 December 2024 and 31 December 2025:

Opening balance as at 1 January 2024	2,185,042
Gains recognised in other comprehensive income	172,959
Closing balance as at 31 December 2024	2,358,001
Gains recognised in other comprehensive income	147,125
Closing balance as at 31 December 2025	2,505,126

9.2 Valuation inputs and relationship to fair value

The following table summaries the quantitative information about the significant unobservable inputs used in level 3 fair value measurements.

Description	Fair value 2025	Fair value 2024	Unobservable input / Valuation technique	Range of inputs 2025	Range of inputs 2024	Relationship of unobservable inputs to fair value
Unlisted equity securities	2,505,126	2,358,001	Adjusted net assets value per share	25,051	23,580	2025: increasing / decreasing adjusted net assets per share by 6% would change the fair value by Rs 147,125. 2024: increasing / decreasing adjusted net assets per share by 8% would change the fair value by Rs 172,959

9.3 Amounts recognised in profit or loss and other comprehensive income

During the year, the following gains/(losses) were recognised in profit or loss and other comprehensive income:

	2025 Rs.	2024 Rs.
Gains / (losses) recognised in other comprehensive income Related to equity investments	147,125	172,959
Dividends from equity investments held at FVOCI recognised in profit or loss in Other operating income (see Note 23)	291,200	268,900

10. Debet instruments at amortized cost

	2025 Rs.	2024 Rs.
Investments		
Treasury bills repurchase agreements	257,302,371	213,969,129
	257,302,371	**213,969,129**

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11. Property, plant and equipment

As at 31 Decemeber 2025

Cost	As at 01.01.2025 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.12.2025 Rs.
Computer equipment	30,948,340	16,291,500	(4,088,906)	43,150,934
Office equipment	68,064,847	13,299,767	(3,776,215)	77,588,400
Furniture and fittings	56,228,058	9,727,257	(4,836,530)	61,118,785
Motor vehicles	85,000	-	-	85,000
Motor vehicles on hire	19,620,536	-	(6,621,429)	12,999,107
	174,946,781	**39,318,525**	**(19,323,080)**	**194,942,226**

Depreciation	As at 01.01.2025 Rs.	Charge for the year Rs.	Disposals during the year Rs.	As at 31.12.2025 Rs.
Computer equipment	20,302,132	7,475,851	(4,088,906)	23,689,077
Office equipment	36,811,158	12,284,397	(3,776,215)	45,319,340
Furniture and fittings	40,617,839	4,997,754	(4,836,530)	40,779,063
Motor vehicles	85,000	-	-	85,000
Motor vehicles on hire	19,620,536	-	(6,621,429)	12,999,107
	117,436,665	**24,758,002**	**(19,323,080)**	**122,871,587**

As at 31 December 2024

Cost	As at 01.01.2024 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.12.2024 Rs.
Computer equipment	18,735,340	12,213,000	-	30,948,340
Office equipment	51,224,594	16,840,253	-	68,064,847
Furniture and fittings	50,652,418	5,575,640	-	56,228,058
Motor vehicles	85,000	-	-	85,000
Motor vehicles on hire	19,620,536	-	-	19,620,536
	140,317,888	**34,628,893**	**-**	**174,946,781**

Depreciation	As at 01.01.2024 Rs.	Charge for the year Rs.	Disposals during the year Rs.	As at 31.12.2024 Rs.
Computer equipment	16,347,803	3,954,329	-	20,302,132
Office equipment	29,061,812	7,749,346	-	36,811,158
Furniture and fittings	36,950,670	3,667,169	-	40,617,839
Motor vehicles	85,000	-	-	85,000
Motor vehicles on hire	19,620,536	-	-	19,620,536
	102,065,821	**15,370,844**	**-**	**117,436,665**

Written down value	2025 Rs.	2024 Rs.
Computer equipment	19,461,857	10,646,208
Office equipment	32,269,060	31,253,689
Furnitureand fittings	20,339,722	15,610,219
	72,070,639	57,510,116
	72,070,639	**57,510,116**

11.1 During the financial year, company acquired plant and equipment to the aggregate value of Rs.39,318,525 (2024 - Rs.34,628,892). Cash payments amounting to Rs.39,318,525 (2024 - Rs.34,628,892) were made during the year for purchase of plant and equipment.

11.2 Gross carrying amount of fully depreciated property, plant and equipment still in use is Rs.71,067,844 (2024 - Rs.80,052,269)

11.3 None of the property, plant and equipment have been pledged as securities against borrowings as at the reporting date.

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12. Intangible assets

As at 31 Decemeber 2025

	As at 01.01.2025 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.12.2025 Rs.
Cost/carrying value				
Computer software	79,902,580	18,149,644	-	98,052,224
	73,320,660	**18,149,644**	**-**	**98,052,224**

	As at 01.01.2025 Rs.	Amortization during the year Rs.	Disposals during the year Rs.	As at 31.12.2025 Rs.
Amortization				
Computer software	73,374,610	2,561,609	-	75,936,219
	73,374,610	**2,561,609**	**-**	**75,936,219**

Written down value	2025 Rs.	2024 Rs.
Computer software	22,116,005	6,527,970
	22,116,005	**6,527,970**

As at 31 Decemeber 2024

	As at 01.01.2024 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.12.2024 Rs.
Cost / carrying value				
Computer software	73,320,660	6,581,920	-	79,902,580
	73,320,660	**6,581,920**	**-**	**79,902,580**

	As at 01.01.2024 Rs.	Amortization during the year Rs.	Disposals during the year Rs.	As at 31.12.2024 Rs.
Amortization				
Computer software	73,320,660	53,950	-	73,374,610
	73,320,660	**53,950**	**-**	**73,374,610**

Written down value	2024 Rs.	2023 Rs.
Computer Software	6,527,970	-
	6,527,970	**-**

12.1 During the financial year, Company has acquired intangible assets amounting to Rs. 18,149,644 (2024 - Rs. 6,581,920). Cash payments have been made during the year is 18,149,644.

12.2 Gross carrying amount of fully amortised intangible assets still in use is Rs. 73,320,060 (2024 - Rs.73,320,060).

13. Leases

13.1 Amounts recognised in the statement of financial position

	2025 Rs.	2024 Rs.
Right-of-use assets		
Buildings		
Balance as at 01 January	44,931,548	60,768,227
Additions during the year	61,697,002	17,188,634
Amortisation during the year	(27,626,174)	(27,613,051)
Any other adjustments to the carrying value of ROU assets	-	(5,412,262)
Balance as at 31 December	**79,002,377**	**44,931,548**
Lease liabilities		
Balance as at 01 January	56,917,361	73,304,734
Additions during the year	50,313,011	17,188,634
Payments during the year	(41,620,696)	(41,614,279)
Early termination	-	(5,412,266)
Interest on lease liabilities	17,488,813	13,450,538
Balance as at 31 December	**83,098,488**	**56,917,361**
Current	22,921,890	19,807,130
Non-current	60,176,598	37,110,231
	83,098,488	**56,917,361**

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13. Leases - (Contd.)

13.2 Amounts recognised in the statement of profit or loss

The statement of profit or loss shows the following amounts relating to leases:

	2025 Rs.	2024 Rs.
Depreciation charge of right-of-use assets		
Buildings	27,626,174	27,613,051
Interest on lease liability	17,488,813	13,450,538
The total cash outflow for leases	41,620,696	41,614,279

13.3 Maturity analysis of undiscounted cash flows of lease liability

	2025 Rs.	2024 Rs.
Less than 1 year	38,617,270	29,525,170
1 to 5 years	89,954,630	46,710,907
More than 5 years	(45,473,412)	(19,318,715)
	83,098,488	**56,917,361**

13.4 Extension and termination options

Extension and termination options are included in a number of property and equipment leases. These are used to maximise operational flexibility in terms of managing the assets used in the company's operations. The extension and termination options held are exercisable only by the company and not by the respective lessor.

13.5 Critical judgements in determining the lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

14. TRADE & OTHER PAYABLES

	2025 Rs.	2024 Rs.
Trade creditors - Related parties (14.1)	1,344,093,346	580,738
- Non related parties	43,834,824	35,583,265
Other payables - Related parties(14.2)	74,085,235	184,747,034
- Non related parties- Advances received from customers	26,462,932	29,032,570
- Non related - Others parties	518,526,729	446,277,235
	2,007,003,066	**696,220,842**

14.1 Trade creditors - Related parties

	Relationship	2025 Rs.	2024 Rs.
Associated Motorways (Pvt) Limited	Parent	1,344,093,346	580,738
		1,344,093,346	**580,738**

14.2 Other payables - Related parties

	Relationship	Nature of Transactions	2025 Rs.	2024 Rs.
Other payable - Associated motorways (Pvt) Ltd.	Parent	Rent and shared overhead expenses	22,467,997	158,253,682
Insurance payable - Orient Insurance Limited	Other related party	Customers insurance premiums payments	23,027,641	8,452,589
AL Futtaim Private CO. LLC	Other related party	Shared overhead expenses	28,589,597	18,040,763
			74,085,235	**184,747,034**

15. Time deposits

	2025 Rs.	2024 Rs.
Balance as at 01 January	1,791,526,614	1,280,877,416
Fixed deposits during the year	1,686,117,103	1,221,148,149
Interest capitalized for renewals	30,748,972	32,440,627
Top up's (additions by customer to original deposit)	7,026,438	4,882,543
Withdrawals during the year	(917,712,394)	(747,322,121)
Balance as at 31 December	2,597,706,733	1,791,526,614
Interest payable	140,502,868	89,685,068
Balance as at 31 December	**2,738,209,601**	**1,881,211,682**

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16. Interest bearing borrowings

	2025 Within One Year Rs.	2025 After One Year Rs.	2025 Total Rs.	2024 Total Rs.
Securitization Loan (16.1)	793,065,533	2,283,381,783	3,076,447,316	419,682,138
Short Term Loan (16.2)	300,071,836	-	300,071,836	-
	1,093,137,368	**2,283,381,783**	**3,376,519,151**	**419,682,138**

16.1 Securitization loan

	As at 01.01.2025 Rs.	Loans obtained Rs.	Accrued interest Rs.	Repayment Rs.	As at 31.12.2025 Rs.	Term of the loan	Interest rate	Security offered
Securitization (NDB) 1500 M	125,000,000	-	2,454,966	(127,454,966)	(0)	36 Months	12.15%	Auto Loan Portfolio - Note 33
Securitization (DFCC) 900 M	294,682,137	600,000,000	66,867,040	(268,233,254)	693,315,923	48 Months	AWPLR + 1.25%	Auto Loan Portfolio - Note 33
Hatton National Bank 1,500 M	-	1,500,000,000	39,239,031	(138,438,688)	1,400,800,342	60 months	10.25%	Auto Loan Portfolio - Note 33
BOC 1,000 M	-	1,000,000,000	7,486,119	(25,155,068)	982,331,050	48 Months	10.50%	Auto Loan Portfolio - Note 33
	419,682,137	**3,100,000,000**	**116,047,155**	**(559,281,977)**	**3,076,447,316**			

16.2 Short term loan

	As at 01.01.2025 Rs.	Loans obtained Rs.	Accrued Interest Rs.	Repayment Rs.	As at 31.12.2025 Rs.	Term of the loan	Interest rate	Security offered
Hatton National Bank	-	550,000,000	6,572,936	(256,501,100)	300,071,836	12 Months	Market rate (AWPLR-0.2% Monthly reviewed)	Auto Loan Portfolio
	-	**550,000,000**	**6,572,936**	**(256,501,100)**	**300,071,836**			

16.3 Unutilised funding facilities

Bank name	Type of facility	Interest rate	Rs.	Security offered	Conditions
Commercial Bank	Over draft/STL	AWPLR + 2%	200,000,000	Auto loan portfolio - Note 36	Combined oustanding of overdraft and STL should be within the limit.
Hatton National Bank	Short Term Loan	Market Rate	200,000,000	Auto loan portfolio - Note 36	Average utilization should not be less than 50% of the sanctioned limit.
Pan Asia Bank	LTL/STL	AWPLR + 3.25% with a rebate of 2%	500,000,000	Auto loan portfolio - Note 36	Combined oustanding of LTL and STL should be within the limit and rebate is applicable only for payments without delay.
			900,000,000		

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17. Income tax payable

	2025 Rs.	2024 Rs.
Balance as at 01 January	35,222,027	75,298,713
Provision for the year	95,858,600	-
	131,080,627	75,298,713
Payments made during the year	(46,182,281)	(40,076,687)
Balance as at 31 December	**84,898,346**	**35,222,026**

18. Employee benefit obligation

	2025 Rs.	2024 Rs.
Balance as at 01 January	47,613,081	31,489,810
Current service cost	6,218,661	4,203,396
Interest for the year	4,784,726	3,886,086
Benefits paid	(4,166,391)	(5,527,623)
Actuarial loss	14,519,450	13,561,413
Balance as at 31 December	**68,969,527**	**47,613,081**

Employee benefit plan of the company is not externally funded.

The employee benefit obligations is based on the actuarial valuation carried out as at 31 December 2025 by Milliman Limited. The principal assumptions used in determining the cost of employee benefits were:

		2025	2024
a.)	Discount rate (the rate of interest used to discount the future cash flows in order to determine the present value)	10.10%	10.90%
b.)	Future salary increase	8%	8%
c.)	Staff turnover	20%	20%
d.)	Retirement age	60	60

e.) Company will continue as a going concern

In addition to the above, demographic assumptions such as mortality, withdrawal and disability and retirement age were considered for the actuarial valuation. "A67/07 Mortality Table" issued by the Institute of Actuaries, London was used to estimate the gratuity liability of the company.

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18. Employee benefit obligation - (Contd)

A sensitivity of the defined benefit obligation to changes in the principal assumptions is as follows.

	2025		2024	
Effect on the present value of defined benefit obligation	**+1%**	**-1%**	**+1%**	**-1%**
One percentage point change in the discount rate	(2,932,548)	3,228,001	(2,094,620)	2,296,265
One percentage point change in the salary escalation rate	3,276,631	(3,026,367)	2,348,682	(2,176,821)

Information about maturity profile of the defined benefit obligations

Future working life time	**2025**	**2024**
	Rs.	**Rs.**
Within the next 12 months	17,077,444	6,756,208
Between 1-5 years	21,809,690	19,934,848
Between 5-10 years	19,906,849	14,761,587
Beyond 10 years	10,175,544	6,160,438
	68,969,527	**47,613,081**

The above sensisvity analysis is based on a change in an assumption while holding all other assumptions constant. In practise, this is unlikely to occur and changes in some of assumptions may be correlated. When calculating the aensivity of the defined benifit obligation to significant actuarial assumptions the same method (present value of the defined benifit obligation calculated with the projected until credit method at the end of the reporting period) has been applied. The methods and types of assumptions used in preparing the sensivity analysis did not change compared tothe prior period.

The employee defined benefit comprises the gratuity provided under the payment of Gratuity Act, No.12 of 1983.

19. Stated capital

	2025	**2024**
Number of ordinary shares issued and fully paid	**20,000,000**	**20,000,000**

	2025	**2024**
	Rs.	**Rs.**
Balance as at 01 January	200,000,000	200,000,000
Balance as at 31 December	**200,000,000**	**200,000,000**

The holders of the ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.

20. Statutory reserve fund

	2025	**2024**
	Rs.	**Rs.**
Balance as at 01 January	184,470,115	181,044,568
Transfers during the year	10,576,341	3,425,547
Balance as at 31 December	**195,046,456**	**184,470,115**

The Company's statutory reserve fund is maintained in accordance with direction no. 9 of 1991 as amended by direction no. 1 of 2003 issued by the Central bank of sri Lanka.

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21. Interest income

	2025 Rs.	2024 Rs.
Leases	77,479,078	80,093,606
Term loans	1,251,962,346	843,023,290
FD loan interest	4,695,848	3,944,825
Interest income on debt instruments at amortized cost	41,838,029	152,518,400
	1,375,975,301	1,079,580,121

22. Interest expenses

	2025 Rs.	2024 Rs.
Securitization loan	123,815,794	78,210,872
Interest on time deposits	278,998,640	249,783,022
Interest on lease liabilities	17,488,813	13,450,538
	420,303,247	341,444,432

23. Other operating income

	2025 Rs.	2024 Rs.
Overdue interest income	46,824,139	33,624,626
Profit from pre-termination	145,747,050	126,537,506
Dividend income	291,200	268,900
Commission from insurance	38,673,848	26,416,849
Income from additional charges	44,755,992	30,923,381
Bank charges claimed on cheque returns	912,665	913,135
Recovery of Bad Debts Written Off	5,829,801	
Other income	13,775,859	20,031,755
Gain on disposal of property, plant and equipment	2,363,578	-
	299,174,132	238,716,152

24. Impairment (charges) / reversal

The table below shows the ECL charges on financial instruments for the year recorded in the income statement.

Total financial assets as at 31.12.2025

	Stage 1	Stage 2	Stage 3	Total
Loans and advances				
Motor car	7,051,677,908	1,006,144,408	383,362,306	8,441,184,622
Motor cycle	192,599,641	86,640,674	26,931,594	306,171,909
Motor tricycle	179,531,557	69,273,134	20,317,525	269,122,216
Dual purpose	1,281,392,848	347,902,615	138,182,320	1,767,477,783
Other	143,404,699	52,257,504	9,275,109	204,937,312
Lease and hire purchase				
Motor car	4,834,095	2,642,604	5,595,762	13,072,461
Motor cycle	546,803,612	38,207,521	7,415,928	592,427,061
Motor tricycle	2,874,025	1,474,426	13,613,947	17,962,398
Dual purpose	26,656,189	13,439,999	56,991,208	97,087,396
Other	2,746,458	3,246,116	28,769,069	34,761,643
Cash at bank	496,707,978	-	-	496,707,978
Other financial assets	63,343,786	3,249,420	2,710,172	69,303,379
Loans against fixed deposits	51,387,131	-	-	51,387,131
Debt instruments at amortised cost	257,302,371	-	-	257,302,371
Total financial assets as at 31.12.2025	10,301,262,298	1,624,478,420	693,164,940	12,618,905,660

Total financial assets as at 31.12.2024

	Stage 1	Stage 2	Stage 3	Total
Loans and advances				
Motor car	3,502,047,476	699,243,530	509,399,432	4,710,690,438
Motor cycle	201,470,299	30,977,193	27,460,057	259,907,549
Motor tricycle	133,124,276	32,537,427	13,235,655	178,897,358
Dual Purpose	834,324,967	220,641,955	189,958,412	1,244,925,334
Other	82,409,366	23,837,826	2,405,426	108,652,618
Lease and hire purchase				
Motor car	23,370,288	13,404,603	9,930,551	46,705,442
Motor cycle	11,477,269	2,307,439	13,199,760	26,984,468
Motor tricycle	8,485,145	5,973,940	22,144,060	36,603,145
Dual Purpose	68,683,964	57,471,250	79,709,520	205,864,734
Other	15,573,803	4,847,174	30,262,272	50,683,249
Cash at bank	107,484,574	-	-	107,484,574
Other financial assets	65,311,288	-	-	65,311,288
Loans against fixed deposits	27,667,928	-	-	27,667,928
Debt instruments at amortised cost	213,969,128	-	-	213,969,128
Total financial assets as at 31.12.2024	5,295,399,771	1,091,242,337	897,705,145	7,284,347,253

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24. Impairment (charges) / reversal - (Contd.)

Impairment allowance and credit loss expense

	Stage 1	Stage 2	Stage 3	Total
Impairment allowance as at 31st December 2023	**22,910,278**	**147,652,162**	**613,965,292**	**784,527,733**
Loans and advances				
Motor car	68,555,929	(53,514,691)	(60,434,539)	(45,393,301)
Motor cycle	2,761,495	563,992	7,407,305	10,732,792
Motor tricycle	3,487,321	4,028,890	5,518,183	13,034,394
Dual purpose	(2,087,734)	245,105	36,303,115	34,460,486
Other	(489,444)	60,507	9,937,577	9,508,640
Lease and hire purchase				
Motor car	(894,285)	(915,897)	137,190	(1,672,992)
Motor cycle	(656,697)	(369,233)	(4,317,778)	(5,343,708)
Motor tricycle	(1,969,907)	(383,568)	(1,175,479)	(3,528,954)
Dual purpose	(7,312,760)	(5,360,047)	(3,942,474)	(16,615,281)
Other	(12,053,918)	(7,444,745)	(2,889,427)	(22,388,090)
Other financial assets	(1,060,685)	675,597	4,043,721	3,658,633
Total impairment loss for the year ended 31.12.2024	**48,279,315**	**(62,414,090)**	**(9,412,606)**	**(23,547,381)**
Write-off during the year charge / (recovery)	-	-	(11,391,485)	(11,391,485)
Impairment of interest income	-	-	-	(40,844,606)
Credit loss expense for the year ended 31.12.2024	**48,279,315**	**(62,414,090)**	**(20,804,091)**	**(75,783,470)**
Impairment allowance as at 31st December 2024	**71,189,593**	**85,238,072**	**604,552,686**	**760,980,350**
Impairment allowance as at 31st December 2024	**71,189,593**	**85,238,072**	**604,552,686**	**760,980,350**
Loans and advances				
Motor car	45,676,385	26,164,431	(52,731,374)	19,109,442
Motor cycle	(2,742,916)	(706,118)	(11,728,735)	(15,177,769)
Motor tricycle	(4,809,999)	(2,650,245)	(2,945,009)	(10,405,253)
Dual purpose	5,094,115	8,127,068	(30,269,407)	(17,048,225)
Other	(785,253)	(2,515,800)	(4,680,861)	(7,981,914)
Lease and hire purchase				
Motor car	7,476	(46,371)	(279,329)	(318,224)
Motor cycle	18,817,632	6,055,394	(4,163,984)	20,709,042
Motor tricycle	29,966	(74,472)	(3,394,437)	(3,438,943)
Dual purpose	(565,103)	(2,744,214)	(4,408,275)	(7,717,592)
Other	(1,372,813)	(2,942,848)	(2,258,028)	(6,573,689)
Other Financial Assets	6,878	(999,332)	4,048,087	3,055,634
Total impairment loss for the year ended 31.12.2025	**59,356,368**	**27,667,493**	**(112,811,352)**	**(25,787,491)**
Write-off during the year charge / (recovery)	-	-	-	-
Impairment of interest income	-	-	-	(71,655,540)
Credit Loss Expense for the year ended 31.12.2025	**59,356,368**	**27,667,493**	**(112,811,353)**	**(97,443,033)**
Impairment Allowance as at 31st December 2025	**130,545,961**	**112,905,565**	**491,741,333**	**735,192,859**

24.1 Stage Transition

	Stage 1	Stage 2	Stage 3	Total
Impairment Allowance as at the beginning of the year	**71,189,593**	**85,238,072**	**604,552,686**	**760,980,350**
Changes due to loans and receivables recognised in opening balance that have:				
Transfers to Stage 2 and 3	(15,982,769)	13,409,935	2,572,834	-
Transfers to Stage 1 and 3	18,412,341	(30,368,732)	11,956,391	-
Transfers to Stage 1 and 2	56,141,752	26,996,740	(83,138,492)	-
New assets originated or purchased	102,029,425	56,017,292	6,201,492	164,248,209
Assets derecognised or repaid (excluding write offs)	(18,730,625)	(26,725,424)	(157,942,492)	(203,398,541)
Impact on year end ECL of exposures transferred between stages during the year	(82,513,756)	(11,662,321)	107,538,918	13,362,841
Net remeasurement of loss allowance	**59,356,368**	**27,667,490**	**(112,811,349)**	**(25,787,491)**
Impairment Allowance as at the end of the year	**130,545,961**	**112,905,562**	**491,741,337**	**735,192,859**

Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses. There re no POCI assets as at the reporting date.

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		2025	2024
		Rs.	Rs.
25.	**Administrative Expenses**		
	Total vehicle running expenses	20,548,040	21,857,501
	Entertainment	5,200	4,910
	Travel	41,085,352	40,242,821
	Rent and utilities	47,094,227	27,331,369
	Repairs and maintenance	32,158,039	22,575,808
	Insurance	6,565,184	9,914,548
	Communication	25,721,776	24,379,444
	Stationery	7,305,739	7,441,180
	Computer charges	96,748,941	117,767,676
	Professional fees	8,802,173	10,312,807
	Depreciation & amortisation	54,945,784	43,037,844
	Bank charges and commission	6,072,756	5,721,602
	Other expenses	50,478,752	30,985,123
	Crop insurance levy	2,075,000	935,000
	Disallowed VAT	28,161,043	32,892,251
		427,768,006	**395,399,884**

		2025	2024
		Rs.	Rs.
26.	**Personnel Expenses**		
	Staff salaries	276,019,793	234,520,864
	E.P.F	34,832,309	29,657,631
	E.T.F	7,508,091	6,411,062
	Bonus	38,032,664	29,668,977
	Staff training	8,575,143	5,190,666
	Medical Allowances	15,842,862	13,062,559
	Staff welfare	12,434,404	7,509,550
	Employee benefits	11,003,387	8,089,481
		404,248,653	**334,110,790**

		2025	2024
		Rs.	Rs.
27.	**Distribution Expenses**		
	Business promotion expenses	30,927,252	15,266,589
	Sales tour expenses	49,761,975	44,281,490
		80,689,227	**59,548,079**

		2025	2024
		Rs.	Rs.
28.	**Taxes On Financial Services**		
	Value Added Tax (VAT)	123,672,651	80,629,000
	Social Security Contribution Levy (SSCL)	20,552,664	12,869,337
		144,225,315	**93,498,337**

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29. Income tax

The major components of income tax expense for the years ended 31 December are as follows :

	2025 Rs.	2024 Rs.
Current income tax		
Current tax based on profit for the year (26.1)	95,858,600	-
Deferred tax expense		
Due to change in temporary differences (26.2)	(22,235,156)	92,022,404
Total income tax expense	**73,623,444**	**92,022,404**
Income tax expense recognised in other comprehensive income		
(Reversal) / charge on deferred tax	(4,311,697)	(4,016,536)
	(4,311,697)	**(4,016,536)**

29.1 Reconciliation of accounting loss to income tax expense

	2025	2024
Profit before taxation	295,358,018	170,078,221
Tax effect on		
Disallowable expenses	322,002,185	70,387,489
Tax deductible expenses	(188,995,480)	(300,293,112)
Current tax based on profit for the year	**428,364,723**	**(59,827,402)**
Taxable income / (loss)	**428,364,723**	**(59,827,402)**
Current income tax expense	95,858,600	-
Applicable income tax rate	**30%**	**30%**
Deferred tax	(22,235,156)	92,022,404
Total income tax expense	**73,623,444**	**92,022,404**
Tax losses carried forward		
Brought forward	(59,827,402)	(59,827,402)
Reinstated Tax loss 2024*	(49,008,655)	
Tax losses utilized	108,836,057	-
Tax losses carried forward	-	**(59,827,402)**

Reinstated Tax loss 2024*

During the year, the Company identified that the tax loss relating to the Year of Assessment 2024 had been understated in the prior year financial statements. Accordingly, the tax loss brought forward balance has been reinstated to reflect the correct amount available for carry forward.

29.2 Deferred Tax

Income statement	2025	2024
Deferred tax arising from		
Accelerated depreciation for tax purposes	(460,347)	874,010
Employee benefit obligation	(2,051,099)	(4,836,981)
Right-of-use assets and lease liabilities	2,366,911	165,208
Expected credit loss expenses	(26,107,158)	95,768,278
Adjustment	4,016,537	-
Fair value gain on equity instruments	-	51,889
	(22,235,156)	92,022,404
Other comprehensive income		
Actuarial (loss) / gain on employee benefit obligations	(4,355,834)	(4,068,423)
Fair value gain on equity instruments	44,136	51,886
	(4,311,697)	(4,016,537)
	(26,546,853)	**88,005,867**

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Income tax has been computed according to the provisions of the Inland Revenue Act No. 24 of 2017. The Company is liable to income tax at 30%.

30. Basic earings per share

30.1 Basic earnings per share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

30.2 The following reflects the income and share capital data used in the basic earnings per share computation.

	2025 Rs.	2024 Rs.
Amounts used as the numerators:		
Net profit attributable to ordinary shareholders	221,734,574	78,055,817
Number of ordinary shares used as denominators for basic earnings per share		
Weighted average number of ordinary shares in issue		
Applicable to basic earnings per share	20,000,000	20,000,000
30.3 Basic /diluted earnings per share	**11.09**	**3.90**

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

31 Capital commitments and contingencies

31.1 Capital commitments

There were no material capital commitments, which require adjustment to or disclosure in the financial statements as at reporting date.

32. Events after the reporting perioed

There have been no material events occurring after the reporting date that require adjustments to or disclosure in the financial statements.

33. Related party disclosures

33.1 Transaction with related entities

	2025 Rs.	2024 Rs.
Associated Motorways Private Limited - Parent		
Transactions during the period		
Rent cost	23,469,380	9,581,545
Fees paid for repair services	405,166	2,361,257
Expense reimbursements	66,151,425	73,977,724
	90,025,970	**85,920,526**

	2025 Rs.	2024 Rs.
Amounts due to -Associated Motorways Private Limited		
Trade creditors	1,344,093,346	580,738
Other payable	22,467,997	158,253,682
	1,366,561,343	**158,834,420**

	2025 Rs.	2024 Rs.
Amounts due from -Associated Motorways Private Limited		
Other Receivable	3,002,607	3,002,607
	3,002,607	**3,002,607**

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33. Related party disclosures - (Contd..)

33.1 Transaction with related entities - (Contd.)

Orient Insurance Limited - other related company
Transactions during the year

	2025 Rs.	2024 Rs.
Insurance commission income	23,822,559	26,416,849
Insurance premiums paid	2,272,206	2,272,206
	26,094,764	**28,689,055**

Amounts due to Orient Insurance Limited	2025 Rs.	2024 Rs.
Insurance premium payable	23,027,641	8,452,589
	23,027,641	**8,452,589**
Fixed deposit	**350,000,000**	**350,000,000**

33.2 Transactions with key management personnel and close family members of key personnel

Transactions with Key management personnel	2025 Rs.	2024 Rs.
Directors emoluments and key management persons' remuneration	125,117,059	110,304,675
New fixed deposits made	21,123,046	24,500,825
Fixed deposits withdrawn / renewal	34,193,683	12,300,113

Amounts Due To Key Management Personnel	2025 Rs.	2024 Rs.
Fixed deposits	55,381,655	54,367,444

Transactions with close family members of key personnel	2025 Rs.	2024 Rs.
New fixed deposits made	19,044,515	15,666,735
Fixed deposits withdrawn / renewal	28,516,318	20,163,920

33.3 Terms and conditions of transactions with related parties

Transactions with related parties have been conducted under mutually agreed commercial terms.

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34. Financial reporting by segment

For management purposes, the Company is organized into four operating segments as follows.

Finance Lease - Assets leased to customers, which transfer substantially all the risks and rewards associated with ownership other than legal title (absolute ownership).

Term Loans - Loans given to individual and institutional customers.

Unallocated - Operations that cannot be specifically identified into above classifications.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss. Income Taxes are managed on entity basis and are not allocated to operating segments.

	Finance Lease		Term Loans		Unallocated		Total
	2025	2024	2025	2024	2025	2024	2025
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	77,479,078	80,093,606	1,256,658,194	846,968,115	41,838,029	152,518,400	1,375,975,301
Other operating income	12,233,223	18,022,937	180,273,341	142,139,195	106,667,568	78,554,020	299,174,132
Total revenue	89,712,301	98,116,543	1,436,931,535	989,107,310	148,505,597	231,072,420	1,675,149,433
Interest expenses	(23,766,416)	(13,779,579)	(396,536,831)	(327,664,853)	-	-	(420,303,247)
Depreciation and amortization	-	-	-	-	(54,945,784)	(43,037,844)	(54,945,784)
Unallocated expenses	-	-	-	-	(1,001,985,417)	(839,519,246)	(1,001,985,417)
Credit loss expense	57,179,208	57,179,208	64,718,141	10,871,411	(3,055,634)	7,732,852	97,443,033
Profit before tax							295,358,018
Taxation							(73,623,445)
Profit after tax							221,734,574
Segment assets	627,329,465	248,893,692	10,466,838,303	5,918,447,431	-	-	11,094,167,768
Unallocated assets	-	-	-	-	1,222,937,021	701,665,035	1,222,937,021
Total assets	**627,329,465**	**248,893,692**	**10,466,838,303**	**5,918,447,431**	**1,222,937,021**	**701,665,035**	**12,317,104,790**
Segment liabilities	459,250,462	120,953,734	7,662,481,356	2,876,160,928	-	-	8,121,731,818
Unallocated liabilities	-	-	-	-	271,766,507	159,958,978	271,766,507
Total liabilities	459,250,462	120,953,734	7,662,481,356	2,876,160,928	271,766,507	159,958,978	**8,393,498,325**

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35. Maturity of assets and liabilities

The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled.

	2025			2024		
	Less than 12 months Rs.	Over 12 months Rs.	Total Rs.	Less than 12 months Rs.	Over 12 months Rs.	Total Rs.
Assets						
Cash and bank	582,546,077	-	582,546,077	198,265,641	-	198,265,641
Other financial assets	44,083,985	25,219,394	69,303,379	40,953,894	24,357,394	65,311,288
Other non financial assets	46,866,975	-	46,866,975	48,114,125	-	48,114,125
Rentals receivable on lease and hire purchase assets	(135,379,772)	762,709,237	627,329,465	78,296,692	170,597,000	248,893,692
Loans and advances	(2,398,525,866)	12,865,364,170	10,466,838,303	784,228,431	5,134,219,000	5,918,447,431
Debt instruments at amortised cost	257,302,371	-	257,302,371	213,969,129	-	213,969,129
Equity instruments at fair value through other comprehensive income	-	2,505,126	2,505,126	-	2,358,001	2,358,001
Deferred tax assets	-	91,224,073	91,224,073	-	64,677,217	64,677,217
Property, plant and equipment	-	72,070,639	72,070,639	-	57,510,116	57,510,116
Intangible assets	-	22,116,005	22,116,005	-	6,527,970	6,527,970
Right-of-use assets	23,826,052	55,176,325	79,002,377	18,204,023	26,727,525	44,931,548
As at 31 December	**(1,579,280,179)**	**13,896,384,967**	**12,317,104,789**	**1,382,031,934**	**5,486,974,223**	**6,869,006,158**
Liabilities						
Bank overdraft	34,800,146	-	34,800,146	20,206,510	-	20,206,510
Trade & other payables	588,824,486	-	588,824,486	510,893,070	-	510,893,070
Time deposits	1,016,631,595	1,721,578,006	2,738,209,601	1,467,099,814	414,111,868	1,881,211,682
Amounts due to related parties	1,418,178,580	-	1,418,178,580	185,327,772	-	185,327,772
Interest bearing borrowings	1,093,137,368	2,283,381,783	3,376,519,151	194,682,138	225,000,000	419,682,138
Lease liabilities	22,921,890	60,176,598	83,098,488	19,807,130	37,110,231	56,917,361
Provision for income tax	84,898,346	-	84,898,346	35,222,026	-	35,222,026
Employee benefit obligations	17,077,444	51,892,083	68,969,527	6,756,208	40,856,873	47,613,081
As at 31 December	**4,276,469,856**	**4,117,028,468**	**8,393,498,325**	**2,439,994,668**	**717,078,972**	**3,157,073,640**

36. Assets pledged

The following assets have been pledged as security for liabilities.

Nature of assets	Nature of Liability	Carrying Amount Pledged 2025 Rs.	2024 Rs.	Included Under
Rentals Receivables	Securitization Loan- BOC	-	-	Rentals Receivable on Lease and Hire Purchase Assets
Rentals receivables	Bank Overdraft-Com Bank	78,811,641	184,632,492	Rentals Receivable on Lease Assets
Rentals receivables	Contingency Fund & Term Loan - HNB	2,066,484,062	417,451,261	Rentals Receivable on Auto Loan Assets
Rentals receivables	Securitization Loan- NDB 1.5Bn	-	107,162,876	Rentals Receivable on Lease Assets and Auto Loan Assets
Rentals receivables	Securitization Loan- DFCC	391,105,372	1,010,769,519	Rentals Receivable on Lease Assets and Auto Loan Assets
Rentals receivables	Securitization Loan- Pan Asia Bank	458,929,674	-	Rentals Receivable on Lease Assets and Auto Loan Assets
Rentals receivables	Securitization Loan- BOC	1,182,392,255	-	Rentals Receivable on Lease Assets and Auto Loan Assets

The lender has the rights to the future rentals and collaterals relating to the rental receivables in case of a default by the company.

37. Determination of fair value and fair value hierrchy

Set out below is a comparison, by class, of the carrying amounts and fair values of the Company's financial instruments that are not carried at fair value in the financial statements. This table does not include the fair values of non-financial assets and non-financial liabilities.

Financial assets	31 December 2025		31 December 2024	
	Carrying Amount Rs.	Fair Value Rs.	Carrying Amount Rs.	Fair Value Rs.
Financial assets				
Rentals receivable on lease and hire purchase assets	627,329,465	961,544,177	248,893,693	421,274,616
Loans and advances	10,466,838,303	14,332,263,152	5,918,447,431	8,574,879,415
Debt instruments at amortised cost	257,302,371	259,582,621	213,969,129	213,472,188
Total financial assets	**11,351,470,139**	**15,553,389,950**	**6,381,310,252**	**9,209,626,219**
Financial liabilities				
Time deposits	2,738,209,601	2,597,706,733	1,881,211,682	1,791,526,614
Interest bearing borrowings	3,376,519,151	3,370,363,583	419,682,138	418,750,001
Total financial liabilities	**6,114,728,752**	**5,968,070,316**	**2,300,893,820**	**2,210,276,615**

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques.

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37. Determination of fair value and fair value hierrchy - (Contd.)

Fair value of financial assets and liabilities not carried at fair value

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short term maturity it is assumed that the carrying amounts approximate their fair value.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities (other than assets and liabilities with maturities within 12 months) carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments.

37.1 Financial instruments not measured at fair value and fair value hierarchy

The following table set out the fair values of financial assets and liabilities not measured at fair value and related fair value hierarchy used :

	Carrying Value	Quoted price in active Level 1	Significant observable input Level 2	Significant unobservab le input Level 3	Total
As at at 31 December 2025					
Financial assets at amortised cost					
Rentals receivable on lease and hire purchase assets	627,329,465	-	627,329,465	-	627,329,465
Loans and advances	10,466,838,303	-	10,466,838,303	-	10,466,838,303
Debt instruments at amortised cost	257,302,371	-	257,302,371	-	257,302,371
Total financial assets	**11,351,470,139**	-	**11,351,470,139**	-	**11,351,470,139**
Financial Liabilities at amortised cost					
Time deposits	2,738,209,601	-	2,738,209,601	-	2,738,209,601
Interest bearing borrowings	3,376,519,151	-	3,376,519,151	-	3,376,519,151
	6,114,728,752	-	**6,114,728,752**	-	**6,114,728,752**

38. Risk management objectives and policies

38.1 Risk Management

Risk-taking is an inherent aspect of the finance business, and profits serve as the reward for successful risk-taking. The primary objective of risk management in the Company is to ensure that risk-taking activities align with the Company's strategies and risk appetite while maintaining an appropriate balance between risk and reward to maximize shareholder wealth. The Company is primarily exposed to credit risk, interest rate risk, liquidity risk, operational risk, and compliance risk in its business activities, while also facing business and strategic risks in the formulation and execution of its strategic direction.

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles.

Impact of economic uncertainty

In 2025, Sri Lanka's economy continued its gradual recovery following the stabilization achieved in 2024, supported by the continued implementation of disciplined fiscal and monetary policies under the International Monetary Fund (IMF) Extended Fund Facility (EFF) program. The government remained committed to the reform agenda initiated in prior years, with ongoing fiscal consolidation measures and structural reforms aimed at strengthening macroeconomic stability and sustainability.

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38. Risk management objectives and policies - (Contd.)

38.1 Risk Management - (Contd.)

Key policy measures introduced under the IMF program, including formula-based fuel and electricity pricing, revenue-enhancing tax measures, reforms to state-owned enterprises (SOEs), and legislative initiatives to strengthen the autonomy and governance of the Central Bank of Sri Lanka, continued to be implemented during the year. In addition, the tourism sector demonstrated strong momentum during 2025, contributing positively to economic activity, foreign exchange inflows, and overall business confidence.

Following the successful completion of domestic and external debt restructuring in 2024, Sri Lanka's debt position remained broadly stable in 2025, supporting a more predictable macroeconomic environment. Key indicators such as inflation, interest rates, foreign exchange reserves, and exchange rate movements remained relatively stable compared to previous years. However, during the year, the country was affected by the Ditwah cyclone, which resulted in significant loss of human lives and damage to assets and infrastructure. Despite these challenges, policy continuity and adherence to the IMF-supported reform program helped sustain economic confidence and support the ongoing recovery process during 2025.

Credit risk management

AMWCL faces significant credit risk as it serves as the primary business function of the Company. The ongoing economic challenges have substantially affected the income levels and repayment capabilities of both existing and potential customers of AMWCL. In compliance with the SLFRS 9 framework, the Company is required to provision for loan customers, necessitating the estimation of Expected Credit Loss (ECL) based on prevailing and projected economic conditions. To gauge ECL amidst forecasted economic scenarios, AMWCL employs a spectrum of scenarios reflecting varying degrees of severity, each weighted appropriately to encompass a broad spectrum of potential economic outcomes.

In response to the prevailing uncertainties, AMWCL has rigorously evaluated the potential impacts on input variables and assumptions for SLFRS 9 ECL measurement, utilizing available information. The Company conducts regular assessments of its financial assets across diverse customer segments with similar loss patterns, adjusts scenario weightings for each product category based on forward-looking projections, and continuously monitors historical default rates. These ongoing reviews ensure a nuanced and accurate depiction of the Company's ECL assessment concerning its financial assets.

Loan Portfolio has grown to nearly LKR 11.8bn in 2025 cf. LKR 6.9bn it stood at the end of 2024. The Company implemented various risk mitigation strategies to alleviate credit risk, including restructuring credit facilities to minimize the impact on customers while effectively managing risk exposure.

Liquidity risk management

The company has implemented several measures to manage liquidity risk effectively. Regular cash flow monitoring and forecasting ensure sufficient liquidity by tracking inflows and outflows. Asset-Liability Management (ALM) is conducted through the Asset-Liability Committee (ALCO), which reviews the maturity profiles of assets and liabilities to maintain a balanced liquidity position. Additionally, the company relies on diversified funding sources, including customer deposits, bank borrowings, and internal cash generation, to reduce dependency on a single source and enhance financial stability.

As a consequence, AMWCL has maintained a healthy liquidity position during the year and a positive net current asset position as at the date of the consolidated interim statement of financial position.

38. Risk management objectives and policies - (Contd.)

38.1 Risk Management - (Contd.)

Operational risk management

During 2025, AMWCL continued to implement proactive risk mitigation measures aimed at minimizing operational risk and safeguarding employee safety. The Company maintained comprehensive insurance coverage to protect both personnel and assets, and regularly tested its Business Continuity Plan (BCP) to ensure operational resilience and continuity in the event of potential disruptions.

As part of strengthening its operational risk management framework, the Company successfully completed the Risk and Control Self-Assessment (RCSA) for 2025, enabling the systematic identification and assessment of key operational risks and control gaps across the organisation. In addition, an Operational Loss Risk Management (OLRM) system was launched during the year to capture, record, and analyse operational loss events on a company-wide basis, thereby enhancing loss visibility and data-driven risk management.

AMWCL remains committed to maintaining strong procedural discipline and strict adherence to internal policies and guidelines across all areas of operation. Any identified deviations or risk events are promptly escalated and addressed through appropriate remedial actions. Oversight of operational risk management continues to be provided by the Operational Risk Management Committee (ORMC), which is responsible for reviewing operational risk exposures, monitoring updated Key Risk Indicators (KRIs), and ensuring the effective implementation of risk management tools.

38.1.1 Board Integrated Risk Management Committee

The Company has set up a Board Integrated Risk Management Committee (BIRMC), appointed by the Board of Directors as per the CBSL Direction No.5 of 2021 on Corporate Governance with the broad objective of assessing all risks, including credit risks to the Company. The BIRMC has the following key objectives;

* Assess the impact of risks, including credit, market, liquidity, operational, strategic, compliance, and technology through appropriate risk indicators and management information, and make recommendations on the risk strategies and the risk appetite to the Board.

* Develop risk appetite through a Risk Appetite Statement (RAS), which articulates the individual and aggregate level, and types of risk that AMWCL accepts or avoids to achieve strategic business objectives.

* Review the adequacy and effectiveness of senior management level committees (such as credit, ALCO, ITSC, and operational) to address specific risks and manage those within quantitative and qualitative risk limits as specified by the Committee.

* Review the AMWCL's risk policies, including RAS, at least annually.

* Assess all aspects of risk management, including updated business continuity and disaster recovery plans.

* Establish an independent risk management function responsible for managing risk-taking activities across the AMWCL.

The BIRMC comprises Independent Directors, and the Committee has the authority to invite any officer of the Company to the BIRMC meeting. The BIRMC acts as the second line of defence of the Company.

The Risk Management Division is responsible for implementing and maintaining risk-related policies and procedures to promote and embed a risk-aware culture across the Company. The Division works closely with the BIRMC to ensure that all risk management practices and procedures remain aligned with and compliant with the Company's overall risk management framework.

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38. Risk management objectives and policies - (Contd.)

38.1.2 Assets and Liability Committee (ALCO)

The Chief Executive Officer chaired the ALCO. GM -Finance, GM-Credit & Operation, GM-Marketing, Head of Risk & Compliance, and Head of Deposits are the other members of the Committee that meet at least twice a month to monitor and manage assets and liabilities of the Company and also the overall liquidity position. Decisions taken by ALCO are referred to BIRMC for ratification.

38.1.3 Credit policy committee

The Credit Policy Committee (CPC) is responsible for managing the credit risk of the Company. The GM-Credit and Operations chair the Committee. The Chief Executive Officer, GM -Finance, GM-Marketing, Head of Risk & Compliance, Head of Operation, and Head of Recovery are the other members of the CPC. The Committee meets at least twice a month to monitor and manage credit risk, and decisions taken at CPC are referred to BIRMC for ratification.

38.1.4 Operational Risk Management Committee (ORMC)

The Operational Risk Management Committee (ORMC) is responsible for assessing operational risks, including people, systems, internal controls, fraud, and external risks of AMWCL at Branch, Region and Service divisions. The Chief Executive Officer, GM-Credit and Operations, GM-Finance, GM-Marketing, Head of Risk Management, Head of Operation, Head of IT, Head of Compliance, HRBP, and Head of Internal Audit are the other members of the ORMC. The Committee meets quarterly to monitor and manage credit risk, and decisions taken at CPC are referred to BIRMC for ratification.

38.2 Credit Risk

38.2.1 Overview

Credit risk is the likelihood that a customer or counterparty is unwilling or unable to pay interest or repay the principal according to the terms specified in a credit agreement resulting in a loss to the Company. Credit risk is managed through a properly defined credit policy manual which considers target market norms, specific credit selection criteria (both financial and non-financial), concentration limits, delegation of approval authority, credit pricing, segregation of marketing and credit approval and administration and active portfolio monitoring

Concentration risk arises from excessive exposure to individual borrowers, products, sectors, or geographical regions, which may increase the Company's overall credit risk profile. To mitigate this risk, the Company regularly monitors and assesses concentration levels and reports its findings to the Board Integrated Risk Management Committee (BIRMC), enabling timely management actions to address potential

38.2.2 Portfolio analysis: product wise

The lending portfolio primarily consists of auto loans, accounting for 93.57% of the total exposure, while finance leasing and hire purchase make up 6.42% and 0.01%, respectively, as of 31 December 2025.

38.2.2.1 Exposure based on product class

Product	As at 31 Dec 2025		As at 31 Dec 2024	
	Exposure Rs.Mn		Exposure Rs.Mn	%
Finance Leasing	755	6.42%	370	5.39%
Hire Purchase	0.7	0.01%	0.7	0.01%
Auto Loans	10,989	93.57%	6,499	94.60%
Total	**11,744**	**100%**	**6,870**	**100%**

38.2.2.2 Portfolio analysis: Exposure based on asset type

The Company regularly monitors its risk profile by asset class to identify trends in the types of assets financed and to assess their impact on the overall lending portfolio. Certain asset classes are more sensitive to macroeconomic conditions and business cycles, in addition to the underlying borrower risk profile. Accordingly, these asset classes are subject to enhanced monitoring to assess potential changes in the risk profile and to anticipate possible stress on portfolio quality.

Product	As at 31 Dec 2025		As at 31 Dec 2024	
	Exposure Rs.Mn	%	Exposure Rs.Mn	%
Motor Cars	8,486	72.15%	4,758	72.35%
Two Wheeler	899	7.64%	285	2.83%
Three Wheeler	288	2.45%	216	1.72%
Dual Purpose Vhicles	1,376	11.70%	1,081	15.30%
Commercial Vehicles	713	6.06%	507	7.20%
Equipment	-	0.00%	1	0.01%
Agricultural Tractors	-	0.00%	22	0.59%
Total	**11,762**	**100%**	**6,870**	**100%**

38. Risk management objectives and policies - (Contd.)

38.2.2.3 Non performing portfolio

Rs. Mn

As at 31 Dec	2025	2024
Non-Performing Portfolio	868	992
Total Advances	11,813	6,897
Non-Performing %	7.35%	14.39%
Loan Loss Provisions	701.42	730.27

38.2.2.4 Impairment assessment

For accounting purposes, the Company uses collective and individual impairment method and Probability of Default (PD), Loss Given Default (LGD), Exposure at Default (EAD) and Economic Factor Adjustment (EFA) are taken in to consideration. Allowances are assessed collectively for losses on leases, auto loans and hire purchase facilities with similar characteristics. Individually significant leases, auto loans and hire purchase accommodations are assessed on individual basis.

Impairment made at the end of reporting period, 31 December 2025 amounts to Rs 701.42 Mn (2024 - Rs.730.28 Mn).

38.2.2.5 Fair value of collateral and credit enhancements held

The Company endeavors to obtain adequate collateral to secure its credit facilities. The Company continuously monitor the quality of such collateral to mitigate credit losses. A reasonable margin of safety is maintained in collateral values to absorb fall in value of collateral. In General Company has obtained cash deposits, machinery, equipment and vehicles as collateral.

The Company uses collateral to mitigate its risks on financial assets. The collateral comes in various forms such vehicles, letters of guarantees and fixed deposit certificates. The fair value of collateral is generally assessed at the inception based on the guidelines issued by the Central Bank of Sri Lanka. To the extent possible, the Company uses active market data for valuing financial assets, held as collateral.

Repossession of collateral is undertaken only in exceptional circumstances where such action is necessary to recover outstanding dues. Repossessed assets are disposed of in an orderly and transparent manner through a public tender process, and the proceeds are applied towards the settlement of outstanding claims. Any surplus recovered in excess of the amounts due is refunded to the customer.

The following table shows the fair value of collateral and credit enhancements held by the Company as at 31 December 2025.

	Maximum Exposure to Credit Risk (Rs)	Net Exposure to Credit Risk (Rs.)
Cash and cash equivalents (excluding cash in hand)	496,707,978	496,707,978
Other financial assets	69,303,379	69,303,379
Loans and receivables	11,094,167,768	11,039,132,637
Debt instruments at amortised cost	257,302,371	257,302,371
	11,917,481,496	**11,862,446,365**

Carrying value of financial assets as at 31 December	**2025 Rs.**	**2024 Rs.**
Other financial assets	69,303,379	65,311,288
Cash and cash equivalents (excluding cash in hand)	496,707,978	107,484,574
Rentals receivable on lease and hire purchase assets	627,329,465	248,893,692
Loans and advances	10,466,838,303	5,918,447,431
Equity instruments at fair value through other comprehensive income	2,505,126	2,358,001
Debt instruments at amortised cost	257,302,371	213,969,129
	11,919,986,622	**6,556,464,115**

Fair value of collateral held and Net exposure of credit impaired assets as at 31.12.2025

	Fair Value of Collateral ('Rs.)	Net Exposure to Credit Risk ('Rs.)
Credit impaired assets	9,830,000	15,350,000

The collateral held as security on financial assets that are credit-impaired at the reporting date amounts to Rs. 9,830,000 and therefore, net exposure of those credit impaired assets as at 31.12.2025 is Rs. 13,359,264.02/- Collateral amount disclosed only for the repossessed vehicles.

Collateral details;

Nature of the collateral	**Quality of the qollateral**	**Loss allowance**
Movebale property (repossessed vehicles)	Good in condition	Impairment allowance made based on the impairment provision for collateral

There are no changes to company's policy on collaterals.

There are no significant changes in the quality of that collateral or credit enhancements as a result of deterioration or changes in the collateral policies of the entity during the reporting period;

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38. Risk management objectives and policies - (Contd.)

38.2.3 Collections and recovery

The tables below shows the age analysis of the installments in arrears for all Financial Assets exposed to credit risk .The amounts presented are gross receivable amounts.

38.2.3.1 Age analysis of past due based on product class (Rs. '000)

As at 31 December 2025	Leases		Hire Purchase		Auto Loans		Total	
Arrears Bucket	Arrears	Capital Outstanding	Arrears	Capital Outstanding	Arrears	Capital Outstanding	Arrears	Capital Outstanding
1- 29 days	21,477	95,395	0.19	0.19	75,261	2,332,495	96,739	2,427,890
30- 59 days	2,694	35,773	-	-	54,231	980,304	56,926	1,016,077
60- 89 days	3,561	21,759	-	-	49,052	540,444	52,613	562,203
90- 179 days	3,844	7,968	-	-	36,615	180,729	40,459	188,697
180- 365 days	5,422	10,937	-	-	31,557	83,209	36,980	94,146
Over 365 days	62,866	42,481	358.65	476.62	183,215	156,154	246,439	199,112

As at 31 December 2024	Leases		Hire Purchase		Auto Loans		Total	
Arrears Bucket	Arrears	Capital Outstanding	Arrears	Capital Outstanding	Arrears	Capital Outstanding	Arrears	Capital Outstanding
1- 29 days	18,261	48,384	0.19	-	63,432	1,230,571	81,694	1,278,955
30- 59 days	4,940	47,800	-	-	35,634	610,401	40,574	658,201
60- 89 days	5,126	32,132	-	-	32,967	325,098	38,093	357,230
90- 179 days	6,816	26,230	-	-	34,440	191,751	41,256	217,981
180- 365 days	10,427	21,130	-	-	48,571	130,410	58,998	151,540
Over 365 days	68,332	20,895	477	-	140,146	77,287	208,955	98,182

38.2.3.2 Age analysis of past due based on Financial Assets (Rs. '000)

As at 31 December 2025	Not Past due	Past due 1-29 days	30- 59 days	60- 89 days	90- 179 days	180- 365 days	Over 365 days	Total
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and bank (excluding cash in hand)	496,708	-	-	-	-	-	-	496,708
Other financial assets	69,303	-	-	-	-	-	-	69,303
Rentals receivable on lease and hire purchase assets	440,297	116,873	38,467	25,320	11,812	16,360	106,183	755,311
Less : Credit loss expenses	-	-	-	-	-	-	-	(127,981)
Loans and advances	6,337,015	2,407,756	1,034,535	589,496	217,344	114,766	339,368	11,040,281
Less : Credit loss expenses	-	-	-	-	-	-	-	(573,443)
Debt instruments at amortised cost	257,302	-	-	-	-	-	-	257,302
	7,600,625	2,524,629	1,073,002	614,815	229,156	131,125	445,550	11,917,481

As at 31 December 2024	Not Past due	Past due 1-29 days	30- 59 days	60- 89 days	90- 179 days	180- 365 days	Over 365 days	Total
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and bank (excluding cash in hand)	107,485	-	-	-	-	-	-	107,485
Other financial assets	65,311	-	-	-	-	-	-	65,311
Rentals receivable on lease and hire purchase assets	60,152	66,645	52,740	37,258	33,046	31,557	89,704	371,102
Less : Credit loss expenses	-	-	-	-	-	-	-	(122,208)
Loans and advances	3,605,799	1,294,003	646,035	358,065	226,191	178,981	217,433	6,526,507
Less : Credit loss expenses	-	-	-	-	-	-	-	(608,059)
Debt instruments at amortised cost	213,969	-	-	-	-	-	-	213,969
	4,052,715	1,360,648	698,775	395,323	259,237	210,538	307,137	6,554,106

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38. Risk management objectives and policies - (Contd.)

38.3 Liquidity risk

38.3.1 Overview

Liquidity Risk arises when a financial institution is unable to maintain or generate sufficient cash resources to meet its payment obligations as they fall due. It arises in the functions of lending, trading and investment activities. It includes both the risk of unexpected increases in the cost of funding assets due to unanticipated funding requirements and the risk of being unable to liquidate a position in a timely manner at a reasonable price.

The Company diversified funding sources and manage maturity mismatch to manage Liquidity Risk. Additionally future cash flows, funding requirement and liquidity is monitored

38.3.1.1 Contractual Maturities of undiscounted cash flows of financial assets and liabilities (Rs.'000)

As at 31 December 2025	Less than 1 Month Rs.	1 to 3 Months Rs.	3 to 12 Months Rs.	1 to 3 Years Rs.	3 to 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial assets							
Cash and bank	582,546	-	-	-	-	-	582,546
Other financial assets	69,303	-	-	-	-	-	69,303
Rentals receivable on lease and hire purchase assets	4,123	2,505	91,814	487,270	275,439	-	861,151
Loans and advances	47,429	154,488	835,061	3,043,228	9,413,789	408,347	13,902,343
Total undiscounted financial assets	**703,402**	**156,992**	**926,876**	**3,530,498**	**9,689,228**	**408,347**	**15,415,344**
Financial liabilities							
Bank overdraft	34,800	-	-	-	-	-	34,800
Trade and other payables	2,007,003	-	-	-	-	-	2,007,003
Time deposits	120,641	271,405	1,329,532	965,839	50,793	-	2,738,209
Interest bearing borrowings	71,738	431,164	590,236	1,554,215	729,167	-	3,376,520
Lease liabilities	1,752	3,962	17,208	38,500	19,800	1,877	83,098
Total undiscounted financial liabilities	**2,235,934**	**706,530**	**1,936,976**	**2,558,553**	**799,760**	**1,877**	**8,239,630**
GAP	**(1,532,531)**	**(549,538)**	**(1,010,100)**	**971,943**	**8,889,469**	**406,470**	**7,175,713**
Cumulative GAP	**(1,532,531)**	**(2,082,069)**	**(3,092,170)**	**(2,120,226)**	**6,769,242**	**7,175,713**	

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38. Risk management objectives and policies - (Contd.)

38.3.1.1 Contractual Maturities of Undiscounted Cash Flows of Financial Assets and Liabilities (Rs.'000) (Contd...)

As at 31 December 2024	Less than 1 Month Rs.	1 to 3 Months Rs.	3 to 12 Months Rs.	1 to 3 Years Rs.	3 to 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial assets							
Cash and bank	198,266	-	-	-	-	-	198,266
Other financial assets	40,954	-	6,340	26,242.00	3,198.00	-	76,734
Rentals receivable on lease and hire purchase assets	31,243	45,019	52,208	94,126	76,471	-	299,067
Loans and advances	308,889	536,126	2,015,255	3,541,292	1,591,296	1,631	7,994,489
Total undiscounted financial assets	**579,352**	**581,145**	**2,073,803**	**3,661,660**	**1,670,965**	**1,631**	**8,568,556**
Financial liabilities							
Bank overdraft	20,207	-	-	-	-	-	20,207
Trade and other payables	696,221	-	-	-	-	-	696,221
Time deposits	75,569	164,455	1,249,138	635,500	9,429	224	2,134,316
Interest bearing borrowings	9,890	143,215	74,250	178,200	72,050	-	477,605
Lease liabilities	2,754	5,491	21,280	38,162	8,548.70	1,980	78,216
Total undiscounted financial liabilities	**804,641**	**313,161**	**1,344,668**	**851,862**	**90,028**	**2,204**	**3,406,565**
GAP	**(225,289)**	**267,984**	**729,135**	**2,809,797**	**1,580,937**	**(573)**	**5,161,991**
Cumulative GAP	**(225,289)**	**42,695**	**771,830**	**3,581,627**	**5,162,564**	**5,161,991**	

The Asset and Liability Committee (ALCO) meet on a regular basis and discusses the liquidity profile of the operations and considers the dynamic liquidity impact based on the future funding requirements of the company's operations.

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38. Risk management objectives and policies - (Contd.)

38.4 Interest rate risk

38.4.1 Overview

Interest rate risk is the risk that changes in market interest rates adversely affect the company's financial condition. It is the risk of potential volatility in earnings and capital value resulting from changes in market interest rates.

- Repricing Risk
- Basis Risk
- Yield curve risk

The Company continuously monitor the behaviour of interest rates to manage interest rate risk. The Company also manage the interest rate risk by having a balanced portfolio of fixed and variable rate borrowings. The company also prepares static gap analysis and dynamic interest rate gap analysis on monthly basis to measure the risk.
The table below analyses the company's interest rate risk exposure on its non-traded assets and liabilities. The assets and liabilities are included at carrying amount and categorized by the earlier of contractual re–pricing or residual maturity dates.

38.4.1.1 Interest rate sensitivity gaps (Rs. '000)

As at 31 December 2025	Less than 7 days Rs.	8- 30 days Rs.	1 - 3 months Rs.	3 - 6 months Rs.	6 - 12 months Rs.	Over 1 year Rs.	Total Rs.
Sensitive assets							
Rentals receivable on lease, hire Purchase and auto loan assets	117,705	390,647	429,258	768,369	1,702,641	7,685,547	11,094,168
Debt instruments at amortised cost	257,302	-	-	-	-	-	257,302
Cash at Bank	496,708						496,708
Total sensitive assets	**871,716**	**390,647**	**429,258**	**768,369**	**1,702,641**	**7,685,547**	**11,848,178**
Sensitive liabilities							
Bank overdraft	34,800	-	-	-	-	-	34,800
Time deposits	41,077	79,564	271,405	1,023,880	305,652	1,016,632	2,738,210
Interest bearing borrowings	-	71,738	431,164	196,745	393,491	2,283,382	3,376,520
Lease liabilities	-	1,752	3,962	5,548	11,660	60,177	83,099
Total sensitive liabilities	**75,878**	**153,055**	**706,530**	**1,226,174**	**710,803**	**3,360,190**	**6,232,629**
Gap	**795,838**	**237,591**	**(277,273)**	**(457,806)**	**991,838**	**4,325,357**	**5,615,549**
Cumulative Gap	**795,838**	**1,033,429**	**756,157**	**298,351**	**1,290,189**	**5,615,549**	

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38. **Risk management objectives and policies - (Contd.)**

38.4.1.1 Interest rate sensitivity gaps (Rs. '000) (Contd...)

As at 31 December 2024	Less than 7 days Rs.	8- 30 days Rs.	1 - 3 months Rs.	3 - 6 months Rs.	6 - 12 months Rs.	Over 1 year Rs.	Total Rs.
Sensitive assets							
Rentals receivable on lease, hire Purchase and auto loan assets	1,693	243,540	399,743	510,499	866,318	4,145,548	6,167,341
Debt instruments at amortised cost	213,969	-	-	-	-	-	213,969
Cash at bank	107,485						107,485
Total sensitive assets	**323,147**	**243,540**	**399,743**	**510,499**	**866,318**	**4,145,548**	**6,488,795**
Sensitive liabilities							
Bank overdraft	20,207	-	-	-	-	-	20,207
Time deposits	17,159	58,138	161,604	1,035,543	153,941	454,827	1,881,212
Interest bearing borrowings	-	7,182	137,500	18,750	37,500	218,750	419,683
Lease liabilities	-	1,814	3,682	5,629	8,683	37,110	56,918
Total sensitive liabilities	**37,366**	**67,134**	**302,786**	**1,059,922**	**200,124**	**710,687**	**2,378,019**
Gap	**285,780**	**176,405**	**96,957**	**(549,424)**	**666,194**	**3,434,861**	**4,110,776**
Cumulative Gap	**285,780**	**462,184**	**559,142**	**9,718**	**675,912**	**4,110,775**	

Note : Fixed interest bearing assets and liabilities have also taken into consideration in arriving at the interest rate sensitivity gaps.

38.4.1.2 Income impact from change in interest rates within one month

(Rs.'000)	Increase in interest rate 2025		Increase in interest rate 2024	
	100 bps	200 bps	100 bps	200 bps
P&L impact (Monthly)	10,334	20,669	4,622	9,244

Assumptions and method

- All other variables are remain constant at the time of preparing sensitivity analysis.
- The analysis is based on the carrying value of the financial assets and financial liabilities as at the reporting date.

The Company has used same method and assumptions in preparing sensitivity analysis for both current and comparative period

The Company expose no market risk other than the interest change.

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38. Risk management objectives and policies - (Contd.)

38.5 Capital management

The Company manages its capital to ensure that it will be able to continue as a going concern while maximizing the return to shareholders through optimization of the debt and equity balance. Furthermore, the Company continues to maintain higher level of capital adequacy than the regulatory minimum required which is 37.61%.

External capital requirements are enforced and regulated by the Central Bank of Sri Lanka. These requirements are established to ensure sufficient capital and reserves are maintained. The Company maintained capital and reserves of Rs 3,923,606,463/- as at 31 December 2025 which is above the minimum regulatory requirement as at that date.

39. Economic conditions affecting assets, affecting assets, liabilitiesequity, net income or cashflows.

The prevailing macroeconomic environment in Sri Lanka continued to be closely monitored by management during 2025, with strategic decisions focused on the effective utilisation of resources and prudent risk management to achieve sustainable financial performance. Against this backdrop, the Company adopted a disciplined operating approach, which contributed to a stable performance during the year.

Building on the economic stabilisation achieved in 2024, macroeconomic conditions in 2025 reflected relative stability, supported by continued fiscal and monetary policy discipline. Improved confidence within the financial sector enabled Licensed Finance Companies (LFCs) to operate in a more predictable environment. In response, the Company continued its lending activities with a cautious and selective approach, guided by a robust underwriting framework to preserve credit quality.

With the easing of vehicle import restrictions during the year, the Company was well positioned to leverage emerging business opportunities, supported by anticipated activity within the automotive sector and the continued growth of its parent company, AMW.

Management remains confident that the measures implemented during the year, together with ongoing monitoring of economic conditions, the Company's financial strength, and the continued support of the Group, provide a sound basis for maintaining sustainable growth over the medium term.

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